

THE NCA HUB

Examination Preparation

CANADIAN PROPERTY LAW STRATEGIC NOTES

11 Topics | All Assigned Cases | Exam Intelligence | Issue-Spotter Framework

NCA Syllabus: Revised for October 2025 | Ziff's Principles of Property Law, 8th ed. (2023)

© 2026 The NCA Hub | www.thencahub.com | All Rights Reserved

EXAM INTELLIGENCE — BOTH SAMPLE EXAMS DECODED

SAMPLE EXAM 1 (2022, also released as 2024 sample): Q1 (30 marks) — Will interpretation covering trust, life estate, condition subsequent, Rule Against Perpetuities, and joint tenancy. Q2 (25 marks) — Multi-issue boundaries: accretion (lake receding), fixtures (hut on logs), finders/trespass/possession, easements by necessity, subsurface minerals. Q3 (15 marks) — Title to land with mines and minerals; profit à prendre; 25-year exclusive possession grant (= lease). Q4 (15 marks) — Joint family venture (Kerr v Baranow) — pure doctrine essay. Q5 (15 marks) — Priorities at common law and under Torrens title.

SAMPLE EXAM 2 (2025 — NEWEST): Q1 (25 marks) — Will interpretation: condition precedent/subsequent, determinable interest, Rule Against Perpetuities, and equitable interests in the matrimonial home and farm (Sharon's unjust enrichment/constructive trust claim). Q2 (25 marks) — Cave escape room: airspace/subsurface (cuius est solum), trespass, fixtures (lockers anchored to concrete), registered right-of-way (easement — scope and use). Q3 (25 marks) — Commercial lease: three sub-parts on Spencer's Case/covenants running, assignment and landlord's right to refuse consent (Richfield), Highway Properties remedies; then shared ownership disputes between co-owners. Q4 (25 marks) — Five True/False questions testing: symbolic delivery for gifts; Statute of Uses; Aboriginal rights without exclusive possession; JFV prerequisite for constructive trust; Torrens unregistered interest priority.

⚠ **EXAM TIP** — THE PROPERTY EXAM REWARDS BREADTH, NOT JUST DEPTH. The exam instructions in both sample exams explicitly state: 'Identify RELEVANT uncertainty on the facts and in the law. Consider all plausible arguments and plausible alternative outcomes.' Missing a sub-issue costs marks regardless of how well you handle the ones you identified.

MASTER FRAMEWORK — THE FIVE PROPERTY LAW QUESTIONS

Before writing any analysis, run every fact pattern through these five questions to identify all issues. Then structure your answer by addressing each issue in order of apparent mark weight.

QUESTION 1: WHO OWNS WHAT? — Establish the Interest and Its Scope

Begin by identifying the nature of every interest. Is this real or personal property? Is this a legal or equitable interest? What estate does the holder have — fee simple, life estate, leasehold, or lesser interest? What is the physical scope — surface only? Airspace? Subsurface? Minerals? Were the magic words (common law) or statutory presumption used? Always label interests precisely: "fee simple absolute," "life estate," "determinable fee simple," "joint tenancy," "tenancy in common," "easement," "restrictive covenant," "profit à prendre," "Aboriginal title."

QUESTION 2: IS THE INTEREST VALID? — Check for Vitiating Rules

Condition subsequent or determinable: Is the limiting condition certain (H.J. Hayes v Meade)? Does it violate public policy (Leonard Foundation; McCorkill)? Does it restrain alienation (Blackburn v McCallum)? Condition precedent: Is it sufficiently certain? Does it violate the RAP? Rule Against Perpetuities: Must the interest vest, if at all, within lives in being plus 21 years? Apply the worst-case test. If possible to violate → VOID. For equitable interests: Was the trust properly constituted? Is there a resulting trust issue (Pecore)? Was there unjust enrichment giving rise to a remedial constructive trust (Kerr v Baranow)?

QUESTION 3: DOES THE INTEREST BIND THIRD PARTIES? — Priority and Registration

Property rights bind third parties — that is what makes them proprietary rather than personal. Identify all priority contests: Common law: Prior legal vs subsequent legal; prior equitable vs subsequent equitable; prior legal vs subsequent equitable; prior equitable vs subsequent legal (the bona fide purchaser for value without notice rule). Registration: Is this a deeds registration province or a land titles province (Torrens)? Torrens: Does the registration confer immediate indefeasibility? Is the fraud exception engaged? Easements and restrictive covenants: Do they run with the land to successors?

QUESTION 4: WHAT ARE THE RIGHTS AND OBLIGATIONS OF CURRENT OWNERS?

Life tenant: Right to use and enjoy; duty not to commit voluntary waste; obligation to pay outgoings; ameliorating vs permissive vs voluntary waste. Co-owners: Right to possession of the whole; duty to account for profits taken exclusively; right to compel partition or sale. Landlord/Tenant: Duty of quiet enjoyment; covenant to pay rent; Spencer's Case covenants running to assignees; assignment vs sublease distinction. Easement holder: Right to use the servient tenement for the granted purpose; scope limitations (Harris v Flower rule — cannot use easement to benefit non-dominant land).

QUESTION 5: WHAT REMEDIES ARE AVAILABLE?

Trespass to land: Injunction; damages; recovery of land. Breach of a covenant: Injunction (restrictive covenant); damages. Lease remedies: Highway Properties three options on tenant's repudiation; termination; specific performance (rare). Easement termination: By unity of seisin; by release; by abandonment. Joint tenancy: Severance converts to TIC; partition or sale. Constructive trust: Proportionate share of accumulated wealth where JFV established.

TIER	TOPICS	APPEARS ON EVERY EXAM?
Tier 1 — HIGHEST PRIORITY	Estates/Will Interpretation (Ch.4); Conditional Transfers/RAP (Ch.7); Equitable Interests/JFV (Ch.6); Priorities and Registration (Ch.11)	YES — both sample exams
Tier 1 — HIGHEST PRIORITY	Boundaries — airspace/subsurface, fixtures, accretion (Ch.2)	YES — both sample exams
Tier 2 — VERY LIKELY	Servitudes — easements, restrictive covenants (Ch.10); Leases (Ch.8); Shared Ownership (Ch.9); Indigenous Rights/Tsilhqot'in (Ch.5)	At least one sample exam each
Tier 3 — OCCASIONAL	Property in Context/Constructive Taking (Ch.1); Possession/Finders/Gifts (Ch.3)	Q3/Q4 type questions

CHAPTER 1 — PROPERTY IN CONTEXT | SOURCES | CONSTRUCTIVE TAKING

1.1 Sources of Canadian Property Law

Canadian property law is a hybrid of three streams. Indigenous traditions governed land relationships before European contact — based on use, stewardship, and communal connection rather than exclusive ownership. English law was received, bringing feudal structures, the doctrine of tenure, and the doctrine of estates. The Statute Quia Emptores (1290) allowed free alienation while preserving the feudal structure; the Tenures Abolition Act (1660) converted all tenures to free and common socage. Reception erased pre-existing Aboriginal title — an erasure now recognised as constitutionally problematic under s.35 of the Constitution Act, 1982.

1.2 Basic Divisions in Property Law

Real vs Personal Property

Real property (realty) is land and interests in land — the common law provided a "real" remedy (recovery of the thing itself). Personal property (personalty) is all other property — movables (choses in possession) and intangibles (choses in action). The distinction determines which legal rules apply. Leasehold estates occupy an anomalous position: classified as chattels real — real because they relate to land, chattels because historically the common law did not protect the tenant with a real action.

Legal vs Equitable Interests

Legal interests are recognised and enforced by common law courts — generally binding on all. Equitable interests arise in courts of equity — enforceable against all except a bona fide purchaser for value of a legal estate without notice. The trust is the quintessential equitable device.

The Numerus Clausus Principle

The numerus clausus principle ("the number is closed") holds that property interests must conform to a fixed and recognised list of forms. Parties cannot by contract create entirely new categories of property rights that bind third parties. The principle ensures predictability and limits fragmentation of title.

1.3 Constructive Taking of Property — Annapolis Group

RULE — CONSTRUCTIVE TAKING: *Annapolis Group Inc v Halifax Regional Municipality*, 2022 SCC 36

FACTS: Annapolis accumulated 965 acres in Halifax with the intention of developing it. Halifax zoned the land Urban Settlement/Urban Reserve, requiring Halifax to pass a secondary planning resolution before serviced development could occur. Halifax refused to pass such a resolution, effectively preventing any development. Annapolis sued for constructive taking.

TWO-PART TEST (from *Canadian Pacific Railway Co v Vancouver (City of)* 2006 SCC 5): (1) The government acquired a **BENEFICIAL INTEREST** in the property or flowing from it; **AND** (2) The regulation removed **ALL REASONABLE USES** of the land.

ANNAPOLIS CLARIFICATION (5-4 majority, Wagner CJ): "Beneficial interest" does NOT require that the state actually acquire a proprietary interest. An **ADVANTAGE** flowing to the state from its regulation suffices. Evidence of the public authority's **INTENTION** is relevant. The nature of the land and its historical uses; whether the regulation targets a specific landowner or advances a general public policy objective; and relative social utility are all relevant non-exhaustive factors.

DISSENT (Karakatsanis J, 4 judges): Constructive taking should require actual acquisition of a proprietary interest corresponding to the deprivation suffered.

1.4 Property and the State — Charter and Constitutional Protections

Under s.92(13) of the Constitution Act, 1867, "property and civil rights in the province" fall within exclusive provincial jurisdiction. The Canadian Charter of Rights and Freedoms contains NO express guarantee of property rights — a deliberate political choice. There is no Canadian equivalent of the US Fifth Amendment "takings clause" as an express constitutional provision. Indirect Charter protections include s.8 (unreasonable search or seizure), s.7 (life, liberty, security of the person), and s.15 (equality guarantee). Expropriation legislation (e.g., Expropriation Act, RSC 1985; Ontario Expropriations Act, RSO 1990, c E.26) provides procedural protections and compensation rights when property is formally taken.

⚠ **EXAM TIP — CONSTRUCTIVE TAKING IS TESTED IN CONTEXT.** Use the Annapolis two-part test whenever government regulation prevents a landowner from using their land: (1) did the state acquire an advantage? (2) were all reasonable uses removed? Note the majority lowered the bar — mere "advantage" to the state suffices without formal proprietary acquisition.

CHAPTER 2 — BOUNDARIES OF PROPERTY: AIRSPACE | SUBSURFACE | FIXTURES | RIPARIAN

2.0 Legal Descriptions of Land

Canadian law uses several systems of land description: (a) METES AND BOUNDS — traditional common law method, used in parts of Ontario and Atlantic provinces; (b) THE DOMINION LAND SURVEY SYSTEM — used throughout the Canadian prairies, dividing land into townships, ranges, and sections; (c) PLAN OF SUBDIVISION — modern urban land described by reference to a registered plan assigning lot numbers; (d) UNIT/CONDOMINIUM DESCRIPTIONS — identifying the unit number and plan under applicable provincial condominium legislation.

2.1 The Latin Maxim — Airspace and Subsurface Rights

RULE — THE LATIN MAXIM + DIDOW

THE LATIN MAXIM: Cuius est solum, ejus est usque ad coelum et ad inferos — "Whoever owns the soil owns everything up to the heavens and down to the depths of the earth." THE MAXIM IS NOT ABSOLUTE.

AIRSPACE — *Didow v Alberta Power Limited*, 1988 ABCA: Alberta Power installed power lines crossing the airspace above the Didows' land without consent. HELD: A landowner has rights in the airspace above their land, though not to unlimited heights. Installing power lines through a landowner's airspace WITHOUT consent constitutes TRESPASS to land. Damage need not be proved. Rights extend as high as is reasonably necessary for the use and enjoyment of the land and structures on it. Statutory limits (Aeronautics Act) permit aircraft to fly at reasonable heights without committing trespass.

SUBSURFACE: Ownership extends downward into the earth. Minerals and subsurface resources are generally included UNLESS separately reserved or severed by an earlier grant or by Crown reservation.

Mines and Minerals

Mines and minerals are a distinct proprietary interest that can be separated from surface rights by an earlier grant or reservation. If a grant is silent, the question of what passes depends on the words of the instrument and the applicable provincial legislation. *MacKenzie v Alberta (Registrar)* 2022 ABCA 277 (paras 30–33) affirms that mineral interests can be held as a distinct freehold estate separate from the surface. *PrairieSky Royalty Ltd v Yangarra Resources Ltd*, 2025 ABCA 240 (paras 29–34) reinforces the proprietary nature of mineral estates and their separability from surface rights.

SAMPLE EXAM Q3 (2022) application: Ramsey held title to Blackacre "including all mines and minerals, except coal." When Ramsey sold Blackacre to Fielding "no mention was made of minerals." Under the statutory fee simple presumption (exam assumption), Fielding received the entire interest held by Ramsey — including all mines and minerals EXCEPT coal (already excepted from Ramsey's original grant).

2.2 Land Bounded by Water — Riparian Rights and Accretion

RULE — ACCRETION: *Blewman v Wilkinson* [1979] NZCA

RIPARIAN RIGHTS: Where land is bounded by a river, lake, or other watercourse, the landowner holds riparian rights — including the right to access and use the water adjacent to their land. The bed of a navigable river is generally Crown property. The bed of non-navigable rivers may belong to the riparian owner to the middle of the stream.

ACCRETION: Where a water boundary shifts GRADUALLY and IMPERCEPTIBLY, the riparian

landowner's boundary follows the water — the owner gains title to the newly exposed land by accretion. The movement must be gradual and imperceptible from day to day, though noticeable in aggregate over years. "Imperceptible" means imperceptible from day to day, not that it is imperceptible in the aggregate.

AVULSION — THE EXCEPTION: Where a water boundary shifts **SUDDENLY** (e.g., through a storm or flood), the boundary does **NOT** follow the water. The boundary stays at its pre-event location.

R v Nikal [1996] 1 SCR 1013: Water boundaries and Aboriginal fishing rights — the Crown owns the beds of navigable rivers; riparian rights to access water are subject to Crown ownership of the river bed.

SAMPLE EXAM Q2 (2022) application: Shallow Lake receded gradually over 20 years; the landowner placed stakes each spring to mark the current shoreline. The gradual and imperceptible recession = accretion → boundary follows the receding water edge.

RIGHT TO SUPPORT: A landowner has the right to have their land supported in its natural state by adjacent land (lateral support) and by the land below (subjacent support). This right does not include support for buildings on the land — only the land itself in its natural state. Interference with lateral support gives rise to a claim in nuisance or for the right of support.

2.3 Fixtures — The Boundary Between Real and Personal Property

RULE — THE TWO-PART FIXTURES TEST: *La Salle Recreations Ltd v Canadian Camdex Investments Ltd*, 1969 BCCA; *Scott v Filipovic*, 2015 BCCA

FIXTURES: The legal question of when a chattel associated with land becomes fixed to the land and thereby becomes part of the realty. If a chattel is a fixture, it passes with the land on sale, mortgage, or devise. If it remains a chattel, it belongs to whoever owns it as personal property.

(1) **DEGREE OF ANNEXATION:** How firmly is the object attached to the land? An object resting on the land by its own weight alone tends to remain a chattel; one bolted, screwed, or embedded into the structure tends to be a fixture. But this is only the **STARTING POINT**.

(2) **PURPOSE OF ANNEXATION (THE DOMINANT TEST):** Was the annexation intended to make the object a permanent part of the realty, or merely to enable better enjoyment of the object as a chattel while it remains in place? Even substantial physical attachment can be overcome by evidence that the purpose was for the chattel's own use (*La Salle Recreations* — laundry machines physically attached but purpose was to use them as laundry equipment → **CHATTELS**). *Scott v Filipovic*: purpose assessed objectively from the perspective of a reasonable observer.

TENANT'S FIXTURES: Trade fixtures installed for the tenant's trade and ornamental fixtures may be removed by the tenant **BEFORE THE LEASE EXPIRES**, provided removal can be done without substantial damage. Failure to remove before lease expiry → fixtures become the landlord's property.

SECURITY INTEREST INTERACTION: Where a chattel has a PPSA registration or conditional sale clause, the security interest may persist even after the chattel becomes a fixture. The PPSA security interest holder may be entitled to remove the chattel despite its fixture status. *Scott v Filipovic* addresses this interaction — the PPSA holder may prevail over the mortgagee of the land depending on registration priority.

SAMPLE EXAM Q2 (2022) — Hut on logs: Pre-fabricated, rested on 8 logs (low degree of annexation); used for seasonal storage (purpose = better use of the chattel, not permanent improvement). Strong argument it was a CHATTEL.

SAMPLE EXAM Q2 (2025) — Lockers in cave: Securely anchored to concrete walls (high degree of annexation). Purpose: to enable the escape room business as a commercial improvement → likely FIXTURE. BUT: conditional sale clause retaining title to the vendor until payment — PPSA security interest analysis required.

△ **EXAM TIP** — FIXTURES IS TESTED ON EVERY EXAM. Always apply BOTH parts of the test — degree of annexation is just the starting point; PURPOSE is determinative. Then check for tenant's fixture rules and security interest interactions.

2.4 Mistaken Improvements

A mistaken improver is a person who makes improvements to land belonging to another, believing wrongly that the land is their own. The common law does not provide a general right of compensation for mistaken improvements. The maxim quicquid plantatur solo, solo cedit ("whatever is planted in the soil belongs to the soil") operates harshly against improvers.

EQUITY'S RESPONSE: Where an owner stands by and knowingly allows another to make improvements under a mistaken belief, equity may raise an estoppel preventing the true owner from asserting title without compensating the improver. Proprietary estoppel provides the mechanism.

EXAM CONTEXT: Mistaken improvements arise in boundary disputes where a person builds a fence, shed, or addition encroaching on a neighbour's land by mistake. The court balances the improver's investment against the owner's right to their land. Remedies include: damages, mandatory injunction (requiring demolition), or in cases of acquiescence an estoppel-based award permitting the encroachment to remain.

CHAPTER 3 — POSSESSION: FINDERS | GIFTS | BAILMENT

3.1 Possession — Concept and Elements

Possession gives rise to title good against all the world except the true owner, and a prior possessor's title is better than a later possessor's title. Possession has two essential elements:

- **CORPUS POSSIDENDI (Physical Element):** A degree of physical control over the thing. What constitutes sufficient physical control varies with context.
- **ANIMUS POSSIDENDI (Mental Element):** The intention to possess — to hold the thing as one's own, or at least to exclude others from it. This does not require an intention to assert ownership; it requires only the intention to control the object to the exclusion of others.

RULE — The Tubantia [1924]: Possessory Title

A Dutch salvage company had invested significant effort in raising the M/V Tubantia, a sunken ship, and was driven off by another company. HELD: The first salvage company had established possessory title through their salvage operations — corpus (physical control) and animus (intention to raise and keep the proceeds). Their possessory title was good against the second company. KEY PRINCIPLE: Possession of an unclaimed or abandoned object gives rise to title good against all the world except the true owner.

3.2 Finders — The Relative Nature of Title

RULE — PARKER v BRITISH AIRWAYS BOARD [1982] UK CA + CANADIAN CASES

PARKER FRAMEWORK: (1) A FINDER of a lost object acquires title good against all the world EXCEPT the true owner. (2) The finder's title is RELATIVE — better than all except the true owner (and any prior possessor). (3) The finder's right is DISPLACED by the OCCUPIER of the premises if the occupier has: (a) Manifested a CLEAR INTENTION to exercise control over the premises AND everything found on/in them BEFORE the finding; AND (b) Actually EXERCISED that control. British Airways had not taken steps to assert control over objects in the executive lounge → Parker prevailed.

TRACHUK v OLINEK 1995 AB KB: Money found in a business parking lot — the business owner had not manifested a clear intention to control objects on the lot → FINDER PREVAILS.

STEWART v GUSTAFSON 1998 SK KB: Money found deliberately buried in a farmer's field — this is NOT a "lost" object in the Parker sense. It was concealed. The landowner, as occupier of private land over which they exercised substantial control, had a better right than the finder. PRINCIPLE: "Lost" objects (to which Parker applies) must be distinguished from "hidden" or "concealed" objects — the latter more readily vests in the occupier/owner.

POPOV v HAYASHI 2002 (California Superior Court — ASSIGNED): Barry Bonds home run ball — Popov caught it but was immediately surrounded by a mob and lost control; Hayashi picked it up. HELD: **EQUITABLE DIVISION.** Popov had a **PRE-POSSESSORY INTEREST** — he had taken significant steps toward possession but was unlawfully prevented from completing it. The court divided proceeds equally (50-50). KEY CONCEPT: "Pre-possessory interest" — where unlawful interference prevents possession from being completed, equity may recognise the incomplete possessor's interest.

PRIOR POSSESSION (Armory v Delamirie): A chimney sweep's boy found a jewel. He brought it to a goldsmith's shop where the goldsmith's apprentice, while pretending to weigh it to assess its value, removed the stones. HELD: The chimney sweep's boy had possessory title good against all except the true owner — including against the goldsmith. A prior possessor beats a subsequent possessor.

3.3 Abandonment

A true owner who abandons property relinquishes all rights. Abandonment requires both: (a) physical relinquishment; AND (b) intention to relinquish ownership permanently. Merely losing an object is NOT abandonment — a lost object still belongs to its true owner.

3.4 Gifts Inter Vivos — Delivery Requirement

RULE — Thomas v Times Book Company [1966] UK: THREE REQUIREMENTS FOR A VALID GIFT INTER VIVOS

(1) DONATIVE INTENT (animus donandi): The donor must intend to make a present, irrevocable gift — not a loan, a conditional transfer, or a future promise to give.

(2) DELIVERY: The donor must actually deliver the object to the donee (or to a third party as agent for the donee). Three forms: (a) ACTUAL DELIVERY — physical transfer of the chattel; (b) CONSTRUCTIVE DELIVERY — transfer of something representing dominion over the chattel (e.g., handing over the keys to a car or locked box); (c) SYMBOLIC DELIVERY — where actual delivery is IMPRACTICAL (object too large, not present, or cannot be physically handed over), symbolic delivery substitutes — handing over a document of title, a receipt, or some symbolic item. 2025 Sample Exam Q4 True/False #1: A gift of chattels may be made using symbolic delivery if actual delivery is impractical — TRUE.

(3) ACCEPTANCE by the donee. Acceptance is generally presumed where the gift is beneficial.

DONATIO MORTIS CAUSA (Re Bayoff Estate [2000] SKQB): Gift made in contemplation of imminent death. Requires: (a) made in contemplation of imminent death from a specific peril; (b) conditional on death occurring; (c) delivery of the subject matter or something representing dominion. If the donor recovers, the gift is automatically revoked.

3.5 Bailment

RULE — Punch v Savoy's Jewellers 1986 ONCA; The Pioneer Container [1994] UKPC

BAILMENT: A temporary transfer of possession of personal property by the owner (bailor) to another (bailee) for a specific purpose, with an obligation to return the property. Bailment does NOT transfer ownership — only possession.

STANDARD OF CARE: (1) BAILOR'S SOLE BENEFIT (gratuitous custody): Bailee owes duty of gross negligence only. (2) MUTUAL BENEFIT (commercial transaction — storage, repair): Bailee owes ORDINARY (REASONABLE) CARE. (3) BAILEE'S SOLE BENEFIT (bailee borrows the chattel): Bailee owes the HIGHEST DUTY OF CARE — liable for even slight negligence.

PUNCH v SAVOY: Commercial bailment (ring left for repair = mutual benefit). HELD: Once the bailor establishes delivery and loss, the BURDEN SHIFTS TO THE BAILEE to prove the loss occurred without negligence. The bailee cannot simply say "I don't know what happened."

SUB-BAILMENT — The Pioneer Container: Where the bailee further transfers possession to a third party (sub-bailee), the sub-bailee is DIRECTLY RESPONSIBLE to the original bailor. The sub-bailee takes the goods subject to the original bailor's right to have them returned in the same condition. If the head bailment authorises sub-bailment, the sub-bailee may invoke the terms of the head bailment in their dealings with the original bailor.

CHAPTER 4 — COMMON LAW ESTATES: FEE SIMPLE | LIFE ESTATE | WILL INTERPRETATION

4.1 The Doctrine of Estates — Overview

The doctrine of estates determines the TEMPORAL LIMITS of ownership — how long does this person's interest last? An estate is an interest in land of defined duration. The two living freehold estates in Canadian law are the fee simple (potentially infinite duration) and the life estate (duration of the measuring life). The fee tail (restricting land to lineal descendants) has been abolished in most Canadian provinces.

4.2 The Fee Simple

RULE — THE FEE SIMPLE ABSOLUTE

The fee simple absolute is the largest estate known to law — the holder has the full bundle of ownership rights without any temporal limitation. "Fee" indicates it can pass by inheritance; "simple" indicates no restriction on who can inherit.

CREATION AT COMMON LAW: Magic words required — "to A and his heirs." Without "and his heirs" the grantee received only a life estate.

STATUTORY REFORM (EXAM ASSUMPTION): A devise or transfer of land WITHOUT WORDS OF LIMITATION confers upon the recipient the ENTIRE INTEREST held by the testator or grantor, unless a contrary intention appears in the instrument. ON THIS EXAM, PRESUME FEE SIMPLE unless the instrument shows contrary intention.

SHOWING "CONTRARY INTENTION": Express words of limitation ("for life"; "until she remarries"); obligations inconsistent with fee simple ownership ("she shall keep the house in repair and pay the taxes" — consistent with life estate, not fee simple: Re Taylor); direction that property pass to others on an event consistent with a limited estate.

4.3 The Fee Tail — Historic and Abolished

The fee tail ("to A and the heirs of his body") was designed to keep land within a family. It is now effectively abolished across Canada. Ontario abolished the fee tail in 1956. For exam purposes: a grant "to A and the heirs of his body" creates a fee simple in modern Canadian law (under the statutory presumption and abolition statutes).

4.4 The Life Estate

RULE — LIFE ESTATE: Re Walker [1925] ONT; Re Taylor 1972 ONT SC; Martini Estate v Christensen 1999 ABCA

A LIFE ESTATE grants its holder the right to possess, use, and enjoy the land for the duration of a specified life. The estate ends upon the death of the measuring life.

PUR AUTRE VIE: A life estate measured by the life of a third party ("to A for the life of B"). Common where the original life tenant has conveyed their life estate to a third party. If A dies before B, A's interest in the pur autre vie estate passes through A's estate (it continues for B's life).

Re Walker [1925] ONT: A will devised property "to my wife" without specifying duration. HELD: Reading the entire instrument, the wife received a life estate (the surrounding clauses directing remainder to children made clear only a life estate was intended). KEY RULE: Will interpretation requires reading the

instrument as a whole.

Re Taylor 1972 ONT SC: A purported gift "to X" followed by a direction that "she is to keep the house in repair and pay the property taxes" indicates only a life estate — the obligation to maintain and pay taxes is more consistent with a life estate than a fee simple.

Martini Estate v Christensen 1999 ABCA: Whether a gift is a conditional gift or a defeasible fee simple depends on the language used and the evident intention of the testator.

4.4.1 Creating Estates Inter Vivos vs by Will

INTER VIVOS GRANTS: A life estate or fee simple may be created by deed during the grantor's lifetime. The deed must comply with applicable provincial requirements. The classic form is "To A for life, remainder to B in fee simple."

TESTAMENTARY DISPOSITIONS: A life estate or fee simple may be created by will. The will must meet the formal requirements of the applicable Wills Act. A testamentary life estate is often combined with a direction as to what happens on the death of the life tenant.

4.5 Rights and Obligations of Life Tenants — Waste

RULE — FOUR TYPES OF WASTE

(1) VOLUNTARY WASTE: Affirmative acts of damage — cutting timber beyond personal use; removing fixtures; opening new mines (using existing mines is NOT waste). LIFE TENANT IS LIABLE.

(2) PERMISSIVE WASTE: Failure to maintain — allowing the building to deteriorate through neglect. Life tenant is liable ONLY IF the instrument expressly imposes a duty of maintenance. Exam note: "she is to keep the house in repair and pay the property taxes" = express duty → liable for permissive waste.

(3) AMELIORATING WASTE: Acts that change the character of the property but increase its value. Courts generally do not enjoin.

(4) EQUITABLE WASTE: Wanton destruction by a life tenant "unimpeachable for waste" at law — equity may still enjoin.

REMEDIES FOR WASTE: Injunction (where waste threatened or ongoing). Damages (for past waste). The remainderman has standing to bring the claim.

4.5.1 McKeen (Beatrice) Estate v McKeen (Harry L.) Estate 1993 NB KB

FACTS: A testatrix devised property to her brother Harry "for his own use and benefit, but in the event of his death without issue living at the time of his death" the property was to pass to named substitutes. Harry died childless.

HELD: The gift to Harry was a fee simple defeasible on a condition subsequent. The condition ("dying without issue living at the time of his death") was: (a) sufficiently certain — one can determine at Harry's death whether he has living issue; (b) NOT void under the RAP — Harry was alive at the testator's death (a life in being) and the condition resolves within Harry's own lifetime. EXAM RELEVANCE: Illustrates the interpretation of a defeasible fee simple — identify the initial interest, identify the type of limitation, assess validity for certainty, public policy, and the RAP.

4.5.2 Encroachment by the Life Tenant

Where the income produced by the trust property forming part of a life estate is insufficient to maintain the life tenant at their accustomed standard of living, a court may authorise the trustee to "encroach" on the capital — to pay out capital amounts to the life tenant. This equitable power derogates from the remainderman's interest. Most provinces have enacted trustees' acts that give trustees express authority to encroach on capital for the benefit of a life tenant (e.g., Ontario's Trustee Act, RSO 1990, c T.23, s.27 — power to make advancements for maintenance). The trust instrument may also expressly authorise or prohibit encroachment.

4.6 Will Interpretation — The Core Exam Skill

Will interpretation questions appear on EVERY NCA Property exam. The following principles govern will interpretation:

Step 1: Read the Entire Instrument

No clause is read in isolation. The testator's intention must be deduced from the will as a whole. A term that appears to grant a fee simple in one clause may be restricted by a subsequent clause directing what happens after the devisee's death.

Step 2: Apply the Exam Assumptions

(a) Without words of limitation = fee simple. (b) "To A and B" (two or more) = tenancy in common unless contrary intention. (c) Common law rules govern perpetuities. (d) Adverse possession period = 10 years.

Step 3: Identify Each Interest

For each clause: Who receives what? For how long? Is it absolute or conditional? If conditional, is the condition a condition precedent or condition subsequent? Is there a remainder after the first interest?

Step 4: Check Validity

For each interest: Does it satisfy the Rule Against Perpetuities? Is it certain enough to be enforced? Does it violate public policy? Does it impose an illegal restraint on alienation?

Step 5: Identify Uncertainty and Alternative Arguments

The exam explicitly rewards identifying uncertainty. Where a term could be interpreted in more than one way, state both interpretations and their consequences. Do not state one conclusion if the authorities or the facts admit multiple plausible outcomes.

COMMON WILL SCENARIO	ANALYSIS	
"To my sister; she is to keep house in repair and pay taxes"	Sister gets a life estate (duties of maintenance = life tenant's obligations per <i>Re Taylor</i>). Fee simple reversion passes on sister's death to the remainderman or returns to the estate if none specified.	
"To my nephews David (1/3) and Richard (2/3) as joint tenants"	Contradiction: fractions are inconsistent with joint tenancy (which requires unity of interest = equal shares). The court will likely resolve in favour of tenancy in common (consistent with fractional shares). Identify the inconsistency and argue both outcomes.	
"On condition that the stone wall be maintained; if not, land shall revert"	Condition subsequent. Is the condition certain? Maintaining a stone wall is a fairly specific obligation. Check for public policy, certainty, and RAP validity.	

COMMON WILL SCENARIO	ANALYSIS	
"To X when she turns 21; if she fails to reach 21, then to Y"	X has a contingent fee simple (condition precedent: turn 21). Y has a contingent remainder (alternative). Both vest within lives in being (X herself). VALID under RAP.	

⚠ **EXAM TIP** — WILL QUESTIONS: ALWAYS ADDRESS EVERY CLAUSE. Both sample exam Q1s involve wills with multiple clauses. Each clause gets its own analysis — estate created, validity, current holders, what happens if a condition fails, RAP analysis. Allocating the 30-mark Q1 across typically 3-4 clauses means each sub-clause is worth 7-10 marks. Do not rush any clause.

4.7 Comprehensive Will Interpretation — Worked Multi-Clause Analysis

On the NCA Property exam, a will question allocates 25-30 marks and typically contains 4-6 operative clauses, each requiring individual analysis. Budget approximately 7-8 minutes per clause in a 30-mark question.

4.7.1 Model Will — Clauses and Analysis

TESTATOR: Robert, who dies leaving a spouse (Ann), two adult children (Charles, 40, and Diana, 35), and two grandchildren (Edward, 12, son of Charles; and Frances, 2, daughter of Diana). Robert held: Blackacre (rural farmland), Whiteacre (residential house), and a share portfolio.

CLAUSE 1: "I give Whiteacre to my wife Ann for her life, and after her death to such of my children as survive her in equal shares."

Ann receives a LIFE ESTATE. The gift over "to such of my children as survive her" is a CONTINGENT REMAINDER — contingent on surviving Ann. RAP: The measuring lives are Ann, Charles, and Diana (all lives in being). The children will either survive Ann or not — this resolves at Ann's death (itself within a life in being). VALID. Result: Ann has a life estate; Charles and Diana have contingent remainders in fee simple as tenants in common if they survive Ann.

CLAUSE 2: "I give Blackacre to Charles and Diana as joint tenants, provided that if either sells or mortgages their interest, the land shall revert to my estate."

The condition subsequent (prohibition on selling or mortgaging) is a potential ILLEGAL RESTRAINT ON ALIENATION under *Blackburn v McCallum* — a total prohibition on selling or mortgaging a fee simple interest is void. RESULT: The condition subsequent is VOID. Charles and Diana take Blackacre as joint tenants FREE of the void condition.

CLAUSE 3: "I give the share portfolio to my grandchildren who attain the age of 25."

This is a CONTINGENT GIFT — contingent on each grandchild attaining age 25. Edward (12) and Frances (2) are lives in being. BUT: Charles and Diana are alive and of presumed childbearing capacity — they could have afterborn grandchildren (not lives in being) born after Robert's death. WORST CASE: Charles and Diana both die immediately after Robert; an afterborn grandchild is then born; that grandchild must reach 25 — which would require more than 21 years after all lives in being have died. It is POSSIBLE the interest fails to vest within the perpetuity period. ENTIRE CLASS VOID under the RAP. The "all or nothing" rule for class gifts applies — if any member of the class might take outside the period, the entire class gift fails. The share portfolio falls into residue.

CLAUSE 4: "I give the residue of my estate to the Ottawa Humane Society on condition that it uses the funds only for the care of cats. If the Society ceases to use the funds for this purpose, the residue shall pass to the Toronto Animal League."

The condition subsequent (use only for cats) may be breached at any time — potentially far in the future. The Toronto Animal League's interest is a contingent future interest that vests only on breach. The breach could occur

centuries in the future — outside any life in being + 21 years. The Toronto Animal League's contingent gift VIOLATES THE RAP and is VOID. With no valid gift over, the Ottawa Humane Society may hold the residue free of the condition subsequent. Identify this uncertainty: charitable-to-charitable gift exception may be argued but the exam applies the strict common law rule.

CHAPTER 5 — INDIGENOUS RIGHTS IN LAND: TSILHQOT'IN | DUTY TO CONSULT | RESERVES | TREATIES

5.1 Constitutional Foundation — Section 35

Section 35 of the Constitution Act, 1982 "recognises and affirms" existing Aboriginal and treaty rights. The constitutional protection applies to rights that existed in 1982 (pre-existing rights) or that have been recognised since. Section 35 applies to both Aboriginal title (a right to land) and Aboriginal rights short of title (non-territorial rights such as the right to fish, hunt, or conduct ceremonies).

5.2 Aboriginal Title — Tsilhqot'in Nation v BC 2014 SCC 44

RULE — TSILHQOT'IN NATION v BRITISH COLUMBIA 2014 SCC 44 (McLachlin CJ, unanimous)

HISTORICAL SIGNIFICANCE: First time in Canadian history the SCC granted a formal declaration of Aboriginal title.

THREE-PART TEST FOR PROOF OF ABORIGINAL TITLE (para 50):

(1) **SUFFICIENCY OF OCCUPATION:** The claimant group must have occupied the land prior to Crown sovereignty in a manner sufficient to ground title. NOT restricted to "small spots" (rejecting the BCCA's site-specific test). Regular use of a defined territory for hunting, fishing, trapping, foraging — the perspective of the Aboriginal group must be considered. "Not every nomadic passage will ground title, but regular use of definite tracts for hunting, fishing or otherwise exploiting resources could suffice" (para 66).

(2) **CONTINUITY:** Where present occupation is relied upon to prove pre-sovereignty occupation, there must be continuity — not an unbroken chain, but evidence that the character of the group's relationship to the land has not fundamentally changed.

(3) **EXCLUSIVITY:** The group must have exclusively occupied the territory at the time of Crown sovereignty — keeping out others, requiring permission for access, making treaties with other groups, warning off trespassers.

CONTENT OF ABORIGINAL TITLE (once proven): (a) Right to **EXCLUSIVE USE AND OCCUPATION** for a variety of purposes; (b) Right to **BENEFIT ECONOMICALLY** from the land and its resources; (c) Right to **DECIDE** how the land is used; (d) **INHERENT LIMITATION** — use must be consistent with the nature of the group's attachment to the land; cannot destroy the land's future usefulness for the group; (e) **INALIENABILITY** — cannot be sold or transferred to anyone except the Crown.

INFRINGEMENT AFTER RECOGNITION (more demanding than Sparrow): The Crown must first obtain **CONSENT** of the title holders. If no consent: Crown must demonstrate (a) a **COMPELLING AND SUBSTANTIAL** legislative objective, AND (b) action consistent with the Crown's **FIDUCIARY DUTY** — including meaningful consultation and accommodation. **NOTE:** This is NOT the Sparrow test — Tsilhqot'in imposes a higher standard for recognised title.

5.3 Duty to Consult and Accommodate — Pre-Recognition

Before Aboriginal title is formally recognised, the Crown has a duty to consult with Aboriginal groups where the Crown knows (or ought to know) of a credible claim and is contemplating action that might adversely affect the potential right. **THE SPECTRUM OF CONSULTATION** (Haida Nation v BC (Minister of Forests), 2004 SCC 73):

- **LOWER END** (weak claim + minor potential impact): Brief notice, disclosure of information, and a reasonable opportunity to respond.
- **MIDDLE OF THE SPECTRUM:** Reasonable opportunity to respond, consideration of concerns, and documentation of how concerns were addressed.

- **UPPER END** (strong claim + serious potential impact): Full and meaningful consultation, potentially including **ACCOMMODATION** — modification of the proposed action to protect the Aboriginal interest. Accommodation does NOT mean veto — the Crown retains decision-making authority.

The duty to consult is a **CONSTITUTIONAL DUTY** — it cannot be legislated away or satisfied by mere procedural compliance. The Crown must engage in a genuine, substantive process of consultation. Mere information delivery is not consultation.

5.3.1 The Sparrow Infringement Test — Rights Short of Title

R v Sparrow [1990] SCC established the framework for when Crown infringement of an Aboriginal right under s.35 is justified. The Sparrow test applies to Aboriginal **RIGHTS SHORT OF TITLE**. The post-recognition infringement test for proven Aboriginal **TITLE** (*Tsilhqot'in*) is more demanding.

THE SPARROW TEST: (1) **PRIMA FACIE INFRINGEMENT:** Does the Crown's action infringe the Aboriginal right? (2) **JUSTIFIED INFRINGEMENT — TWO-PART TEST:** (a) Is there a valid legislative objective — compelling and substantial? (b) Does the Crown's conduct uphold its fiduciary duty to Aboriginal peoples (minimal infringement, consultation, priority to the Aboriginal right)?

CONTRAST WITH TSILHQOT'IN: For proven Aboriginal title, the Crown must obtain the title holders' **CONSENT** before using or developing the land. If consent not given, the Crown must demonstrate a compelling and substantial objective **AND** consistency with fiduciary duty. This is a higher standard than Sparrow.

5.4 Aboriginal Rights Short of Title

RULE — *R v Van der Peet* [1996] 2 SCR 507: TEST FOR ABORIGINAL RIGHTS SHORT OF TITLE

A claimant group must demonstrate that the right claimed is: (1) **AN ELEMENT OF A PRACTICE, CUSTOM OR TRADITION;** (2) **INTEGRAL TO THE DISTINCTIVE CULTURE** of the group prior to European contact; (3) **An activity that existed PRIOR TO EUROPEAN CONTACT.**

NOTE: For Aboriginal title, the test is sufficiency/continuity/exclusivity of occupation (*Tsilhqot'in*). For rights short of title, the test is an integral cultural practice prior to contact (*Van der Peet*). Such rights do NOT require proof of exclusive possession of the territory.

2025 SAMPLE EXAM Q4 (TRUE/FALSE #3): "A claim by an Indigenous group to a right to conduct a sacred ceremony on specific Crown lands does not require proof of exclusive possession. TRUE or FALSE?" **ANSWER: TRUE.** A right to conduct a sacred ceremony on specific lands is an Aboriginal **RIGHT SHORT OF TITLE**. Exclusive possession is the test for **ABORIGINAL TITLE** (*Tsilhqot'in*), not for rights short of title (*Van der Peet*).

K'omoks First Nation v Thordarson and Sorbie, 2018 BCPC 114: Aboriginal rights claim over specific lands — applies *Tsilhqot'in*'s proof requirements to assess whether the rights asserted meet the constitutional threshold.

5.5 Reserves Under the Indian Act and Land Management

Indian Act, RSC 1985, c I-5: Reserves are lands held by the Crown for the use and benefit of a Band. Individual Band members do NOT hold fee simple title to reserve land. **CERTIFICATE OF POSSESSION (CP):** Granted by the Minister on the Band Council's approval. A CP entitles the holder to use and possess a specific allotted parcel

of reserve land. CPs can be transferred — but ONLY to other Band members or the Band itself. Not the same as fee simple.

Framework Agreement on First Nations Land Management Act (1999): Allows First Nations that adopt a LAND CODE to take over management of their reserve lands from the Indian Act framework. Once in force, the Indian Act's land management provisions no longer apply. Members may hold interests under the Land Code — more flexible than the CP system.

5.6 Modern Treaties — Nisga'a Final Agreement

Nisga'a Final Agreement Act, SC 2000, c 7 (federal); SBC 1999, c 2 (BC): One of Canada's first comprehensive modern treaties creating Indigenous self-government with property rights under a self-government land code.

KEY PROVISIONS: Nisga'a Final Agreement (SC 2000, c 7; SBC 1999, c 2)

(a) NISGA'A LANDS: The Nisga'a Nation holds Nisga'a Lands in a form of fee simple under Nisga'a law — a modified fee simple. Nisga'a law governs how land may be used, transferred, and managed. Provincial property law does not apply to Nisga'a Lands to the extent of any conflict with Nisga'a laws.

(b) NISGA'A CONSTITUTION: The Nisga'a Nation has a Constitution and a Land Act governing the management of Nisga'a Lands. The Land Act specifies who may hold interests in Nisga'a Lands, how interests are created and transferred, and how disputes are resolved.

(c) TRANSFERABILITY: Unlike reserve land under the Indian Act (which is inalienable except through surrender to the Crown), Nisga'a Lands may be dealt with by the Nisga'a Nation under Nisga'a laws — including leasing to non-members.

(d) COMPARISON: Reserve Land (Indian Act) — Crown holds underlying title; individuals hold CPs; not freely alienable. Nisga'a Lands (SBC 1999, c 2) — Nisga'a Nation holds modified fee simple; Nisga'a law governs; self-government framework. Private Freehold (Provincial) — fee simple; freely alienable; provincial property law fully applies.

⚠ **EXAM TIP — TRUE/FALSE QUESTIONS ON INDIGENOUS RIGHTS:** Know the distinction between Aboriginal TITLE (requires exclusive possession — Tsilhqot'in) and Aboriginal RIGHTS SHORT OF TITLE (requires integral cultural practice — Van der Peet; NO exclusive possession required). Also know: Aboriginal title land is inalienable except to the Crown; post-recognition infringement requires compelling and substantial objective + consistency with fiduciary duty (not Sparrow).

CHAPTER 6 — EQUITABLE INTERESTS: TRUSTS | STATUTE OF USES | JFV | KERR v BARANOW

6.1 Historic Development of Equity and the Use

The Court of Chancery developed alongside the common law courts. Where common law provided inadequate remedies, Chancery intervened to enforce equitable obligations. The "use" was a transfer of land "to A to the use of B" — A (the feoffee to uses) held the legal title; B (the cestui que use) had the benefit. Common law courts enforced A's legal title but not B's equitable interest. Chancery enforced B's interest. The use allowed landowners to avoid feudal incidents.

6.2 Statute of Uses (1535) — Its Effect and Circumvention

RULE — THE STATUTE OF USES (1535, Henry VIII)

PURPOSE: Executed passive uses — transferring legal title from the feoffee to uses (A) directly to the cestui que use (B), eliminating the tax-avoidance benefits of the use device.

EFFECT: "To A to the use of B" → the Statute executes the use. A's legal title is STRIPPED. B receives LEGAL TITLE AUTOMATICALLY. A receives nothing.

2025 SAMPLE EXAM Q4 (TRUE/FALSE #2): "If Blackacre is devised to A and his heirs, to the use of B and her heirs, A acquires legal title in fee simple and B acquires equitable title in fee simple. TRUE or FALSE?" ANSWER: FALSE. The Statute of Uses EXECUTES this passive use. A's legal title is stripped. B acquires LEGAL TITLE in fee simple — not equitable. A gets nothing.

HOW THE MODERN TRUST SURVIVED — THREE METHODS OF AVOIDANCE: (1) LEASES — The Statute did not apply to leaseholds; (2) PERSONALTY — The Statute applied only to freehold land; (3) ACTIVE DUTIES — Where A (the trustee) had active duties to perform, the Statute did not execute the use. A retained legal title because active management required it. This is the foundation of the modern trust.

EXHAUSTION — "UNTO AND TO THE USE OF": A conveyance "to A and his heirs, unto and to the use of B and her heirs" — the Statute executes the FIRST use (A → B; B gets legal title). The phrase "unto and to the use of" exhausts the Statute. Any FURTHER use (C as beneficiary of B's interest) creates a modern trust — B holds legal title; C has equitable title (the second use cannot be executed by the already-exhausted Statute).

6.3 Express Trusts — Three Certainties

RULE — THREE CERTAINTIES (Knight v Knight (1840))

(1) **CERTAINTY OF INTENTION:** The settlor must clearly intend to impose a binding trust obligation — not merely a moral obligation, wish, or hope. Words like "I hope," "I wish," "I desire" may be precatory. Words like "I direct," "I declare a trust," "upon trust for" clearly create a trust.

(2) **CERTAINTY OF SUBJECT MATTER:** The trust property must be identifiable — sufficiently described so a court can identify what is held on trust. "The bulk of my estate" is uncertain. "My house at 123 Main Street" is sufficiently certain.

(3) **CERTAINTY OF OBJECTS:** The beneficiaries must be ascertainable. For fixed trusts, the list of beneficiaries must be complete. For discretionary trusts, the "is or is not" test applies — it must be possible to say with certainty whether any given person is or is not a member of the class of potential beneficiaries.

6.4 Resulting Trusts — Pecore v Pecore

RULE — PECORE v PECORE 2007 SCC 17 (Rothstein J)

PRESUMPTION OF RESULTING TRUST (parent → adult independent child): Where a PARENT transfers property GRATUITOUSLY to an ADULT INDEPENDENT CHILD, the LAW PRESUMES the child holds on resulting trust for the parent's estate. The burden falls on the person claiming a gift was intended. Unlike minor children (who need parental provision), adult independent children are expected to support themselves.

PRESUMPTION OF ADVANCEMENT (parent → minor child): A gratuitous transfer from parent to a MINOR child gives rise to a presumption of ADVANCEMENT — the law presumes a gift was intended. Parental duty to provide for minor children makes a gift the natural interpretation.

REBUTTING THE PRESUMPTIONS: Both presumptions can be rebutted by evidence of the transferor's ACTUAL INTENTION at the time of the transfer. Pecore facts: The father continued to use the joint accounts as his own — evidence he did NOT intend to give the accounts to his daughter Paula. Paula held on resulting trust for the estate.

6.5 Institutional Constructive Trust — Soulos v Korkontzilas

RULE — Soulos v Korkontzilas 1997 SCC

FACTS: A real estate agent wrongfully purchased property he was supposed to purchase for his client Soulos. **HELD:** An institutional constructive trust may be imposed where: (1) the defendant came under an equitable obligation in relation to the property; (2) the assets in the defendant's hands are assets it would be unjust to retain; (3) the plaintiff has shown a legitimate reason for seeking a proprietary remedy rather than a personal remedy; (4) there are no third-party interests that would be adversely affected.

DISTINCTION: Institutional constructive trust (Soulos) — arises from wrongful conduct (breach of fiduciary duty, fraud, breach of confidence). Remedial constructive trust (Kerr v Baranow) — arises from unjust enrichment.

6.6 The Remedial Constructive Trust — Pettkus v Becker and Kerr v Baranow

RULE — PETTKUS v BECKER 1980 SCC; KERR v BARANOW 2011 SCC 10 (Cromwell J, unanimous)

PETTKUS v BECKER 1980 SCC: Rosa Becker worked for approximately 19 years building up a farm and bee-keeping business with Leo Pettkus. The assets were in Pettkus's name. **HELD:** Rosa was entitled to a 50% interest through a remedial constructive trust based on unjust enrichment. **THREE ELEMENTS OF UNJUST ENRICHMENT:** (1) enrichment of the defendant; (2) corresponding deprivation of the plaintiff; (3) absence of juristic reason for the enrichment.

KERR v BARANOW 2011 SCC 10 — THREE KEY CLARIFICATIONS:

CLARIFICATION 1 — COMMON INTENTION RESULTING TRUST IS DEAD IN DOMESTIC DISPUTES: The "common intention resulting trust" has NO CONTINUING ROLE in domestic property disputes. Unjust enrichment (not resulting trust based on common intention) is the correct framework for domestic property disputes. **NOTE:** Resulting trusts retain their traditional role in NON-DOMESTIC contexts — Pecore applies outside the domestic realm.

CLARIFICATION 2 — JOINT FAMILY VENTURE (JFV) — FOUR FACTORS: Where two partners conducted their affairs as a JFV, the appropriate remedy for unjust enrichment is a proportionate share of **ACCUMULATED WEALTH** ("value survived"), not merely a fee-for-services calculation. **THE FOUR FACTORS** (none dispositive alone): (a) **MUTUAL EFFORT**: Did both partners pool their efforts and work toward shared goals? (b) **ECONOMIC INTEGRATION**: Commingling of assets; joint accounts; sharing financial risk; treating each other's income and assets as shared. (c) **ACTUAL INTENT**: Did both parties understand the relationship as a joint enterprise? (d) **PRIORITY OF THE FAMILY**: Did one or both make career, mobility, or opportunity sacrifices for the family unit?

CLARIFICATION 3 — THREE REMEDIES: (a) JFV + ACCUMULATED WEALTH → **MONETARY AWARD** ("value survived"): Claimant's proportionate share of the net wealth accumulated during the JFV. (b) NO JFV → **QUANTUM MERUIT**: Fee-for-services calculation — narrower and typically lower. (c) **CAUSAL LINK TO SPECIFIC PROPERTY + MONETARY AWARD INSUFFICIENT** → **REMEDIAL CONSTRUCTIVE TRUST** on that specific property.

2025 SAMPLE EXAM Q4 (TRUE/FALSE #4): "A remedial constructive trust is not available unless the partners conducted their lives as a JFV. TRUE or FALSE?" **ANSWER: FALSE.** A JFV is NOT a prerequisite to a remedial constructive trust. The trust is available where (a) unjust enrichment is established; (b) there is a causal connection between the claimant's contributions and specific property; (c) a monetary award would be insufficient. The JFV affects the **MEASURE** of a monetary award, not the availability of a constructive trust.

6.7 Moore v Sweet 2018 SCC 52

A former girlfriend (Moore, the designated life insurance beneficiary) and a current wife (Sweet, who paid the premiums) both claimed life insurance proceeds. The SCC held that a basic unjust enrichment claim is available outside the domestic relationship/JFV context. The court found in Moore's favour because Sweet's contribution (paying premiums) did not give rise to a sufficient nexus with the specific property to ground a constructive trust. Moore confirms that unjust enrichment does NOT require a JFV — but the nexus between contribution and specific property must be established for a constructive trust.

6.6.1 JFV Analysis — The Four Factors Applied

MUTUAL EFFORT: Evidence: joint labour on a family business, shared management of a household, raising children together, one partner supporting the other's career. The key is that the efforts are **COMBINED** — not merely parallel. **ECONOMIC INTEGRATION:** Evidence: joint bank accounts, joint mortgage, commingling of income, shared investment decisions, joint ownership of assets. **ACTUAL INTENT:** Evidence: statements by the parties, their actions, the manner in which they referred to the property and assets ("ours" vs "mine"), plans they made together. Intent can be inferred from conduct. **PRIORITY OF THE FAMILY:** Evidence: one partner leaving employment to care for children, relocating to support the other's career, foregoing educational or professional opportunities.

REMEDIAL SIGNIFICANCE: (1) IF JFV FOUND: The enriched party must share the **ACCUMULATED WEALTH**. The measure is the deprived party's proportionate share of the net increase in wealth during the JFV period — "value survived." (2) IF NO JFV: **QUANTUM MERUIT** — market value of services rendered. Typically lower. (3) **CONSTRUCTIVE TRUST:** Where a monetary award is insufficient AND there is a causal connection between the deprived party's contributions and the specific property, a remedial constructive trust may be imposed.

⚠ **EXAM TIP** — JFV IS TESTED ON EVERY EXAM. Both sample exams test joint family venture. Sample Exam 1 Q4 is a pure essay: "What is a JFV, how do you determine if one exists, and what is its relevance?" Sample Exam 2 Q1 embeds JFV in a will interpretation question. Know the four factors cold and the three remedies (JFV → value survived monetary; no JFV → quantum meruit; causal link

to specific property + monetary inadequate → constructive trust).

CHAPTER 7 — CONDITIONAL TRANSFERS AND FUTURE INTERESTS: RAP | INVALIDITY | PUBLIC POLICY

7.1 Vested vs Contingent Interests

RULE — VESTED vs CONTINGENT; *Stuartburn (Municipality) v Kiansky* 2001 MBQB; *Fennell v Fennell* 2011 NL SC

VESTED INTEREST: An interest is vested if the holder is ascertainable and the interest is not subject to any condition precedent that remains to be satisfied. (a) Vested in possession: The holder is entitled to present enjoyment. (b) Vested in interest: The holder's right is established but enjoyment is postponed.

CONTINGENT INTEREST: An interest subject to a condition precedent that has not yet been satisfied — the holder's identity may not yet be ascertainable, or a specific condition must be met.

Fennell v Fennell 2011 NL SC: A testator devised property to his son Cyril "so long as he does not contest the provisions of this Will" — a DETERMINABLE LIMITATION using temporal language ("so long as"). Validity of in terrorem (no-contest) clauses: Not automatically void but require careful analysis: (a) Is the clause a condition subsequent or determinable limitation? (b) Is it certain enough — what counts as "contesting"? (c) Does it violate public policy by deterring beneficiaries from seeking legitimate judicial review of the testator's capacity or formal validity?

7.2 Determinable and Conditional Estates

RULE — THREE TYPES OF QUALIFIED TRANSFERS

(1) DETERMINABLE ESTATE: "To A while/until/so long as X condition remains true." Estate continues only while the limiting event has not occurred. When the event occurs, the estate AUTOMATICALLY comes to an end. The grantor retains a POSSIBILITY OF REVERTER.

(2) CONDITIONAL ESTATE — CONDITION SUBSEQUENT: "To A, but if X event occurs, the grantor may re-enter." The estate is granted absolutely but subject to a power of termination. If the condition occurs, the estate does NOT end automatically — the grantor must exercise the power of re-entry. The grantor retains a RIGHT OF RE-ENTRY (power of termination).

(3) CONDITIONAL ESTATE — CONDITION PRECEDENT: "To A if/when X condition is satisfied." The interest is CONTINGENT — A receives nothing until the condition is satisfied.

KEY DISTINCTIONS: Determinable uses temporal language ("while," "until," "so long as") — estate ends naturally. Condition subsequent uses defeasance language ("but if," "on condition that," "provided however") — estate may be cut short by the grantor's election. Condition precedent uses conditional language ("if," "when") — interest does not vest until satisfied.

CONSEQUENCES OF INVALID CONDITION: Void condition subsequent → gift generally takes effect FREE OF THE CONDITION (grantee takes in fee simple absolute). Void determinable limitation → grantee takes in fee simple absolute. Void condition precedent → the entire gift fails.

OTTAWA (CITY) v CLUBLINK CORP ULC 2021 ONCA: Private land was originally granted with a determinable limitation providing that if it ceased to be used as a park, it would revert to the original grantor's successors. HELD: The possibility of reverter following a determinable fee simple remains enforceable by the successors of the original grantor, even after multiple transfers of land. KEY PRINCIPLE: A grantor's possibility of reverter survives through the grantor's successors in title and can be enforced when the limiting condition is breached. NOTE: This case does not directly establish that executory interests granted to third parties (as distinct from the grantor's retained possibility of reverter)

are enforceable in all circumstances — those situations require separate analysis.

7.3 Invalidity — Specific Grounds

(a) Uncertainty — H.J. Hayes Company v Meade 1987 NB KB

A condition on a gift must be sufficiently CERTAIN that a court can determine whether it has been breached. For a CONDITION SUBSEQUENT, the condition must be clear enough to determine if it has been fulfilled or breached — ambiguity is resolved against the party seeking to enforce forfeiture. For a CONDITION PRECEDENT, some uncertainty can be tolerated — the court will try to give effect to the grantor's evident intention.

(b) Conditions Interfering with Marriage — MacDonald v Brown Estate 1995 NS SC

Conditions that completely restrain marriage are VOID as contrary to public policy. Conditions that merely restrict marriage (e.g., "to A if she does not marry before age 25") may be valid if they are partial restraints rather than total prohibitions.

(c) Public Policy

Canada Trust Co v Ontario Human Rights Commission (Leonard Foundation) 1990 ONCA: A trust for white Protestant students = void. Conditions based on RACE, RELIGION, NATIONAL ORIGIN, or other protected characteristics are contrary to public policy. Where a condition is void on public policy grounds, the court determines whether the gift itself can survive (if the condition was merely incidental) or fails entirely (if the condition was the testator's central purpose). In Leonard Foundation, the discriminatory condition was so central to the trust's purpose that it was reformulated.

McCorkill v Streed 2014 NBQB: Bequest to a neo-Nazi organisation whose purposes (promoting white supremacy) violated the fundamental values of Canadian society — void on public policy grounds.

Spence v BMO Trust 2016 ONCA: A racial condition in a will (disinheriting a daughter who had a child with a person of a different race) = void as contrary to public policy. The void condition was struck; the gift survived (the daughter was entitled to share in the estate free of the racial exclusion).

(d) Restraints on Alienation — Blackburn v McCallum 1903 SCC

Conditions that absolutely or substantially restrain the alienation of a fee simple are VOID. The power to transfer property is an essential incident of fee simple ownership. PARTIAL restraints (restraining alienation to specific persons or for a limited period) may be valid.

CONSEQUENCES OF INVALIDITY: When a condition SUBSEQUENT is void → gift takes effect FREE of the void condition (grantee receives fee simple absolute). EXCEPTION: If the condition was so central to the testator's purpose that the testator would not have made the gift without it, the entire gift fails. When a condition PRECEDENT is void → the gift fails entirely. When a DETERMINABLE limitation is void → the limitation is struck, leaving a fee simple absolute in the grantee.

7.4 The Rule Against Perpetuities (RAP) — Common Law Version

RULE — THE RULE AGAINST PERPETUITIES (Common Law — EXAM VERSION)

RULE: No interest in real or personal property is valid unless it must vest, if at all, within the PERPETUITY PERIOD — measured lives in being at the date of the instrument plus 21 years.

EXAM INSTRUCTION: "The law of the jurisdiction applies the COMMON LAW rules in relation to future

interests and perpetuities." This means: (a) No 80-year statutory period; (b) No cy-pres statutory reform; (c) No "wait and see" approach; (d) The traditional "might possibly vest after the period" test applies.

THE PERPETUITY PERIOD = LIVES IN BEING + 21 YEARS: "Lives in being" = persons alive at the date of the testator's death (for wills) or date of instrument (for inter vivos grants). The measuring life can be any life in being expressly or impliedly referred to in the instrument.

THE "WORST CASE" TEST: Ask: Is it POSSIBLE (not probable) that the interest will NOT vest within lives in being + 21 years? If it is possible that the interest vests outside the period → VOID. The test is ruthless — even an absurd possibility of remote vesting will void the interest.

FIVE-STEP APPLICATION: (1) Is the interest CONTINGENT? The RAP applies only to contingent interests. (2) Identify the MEASURING LIVES — all persons alive at the date who are connected to vesting. (3) Could an AFTERBORN PERSON (not a life in being) take the interest? (4) Apply the WORST CASE TEST — imagine all measuring lives die immediately after the testator. Must the interest vest within 21 years? (5) If vesting MIGHT be delayed beyond the period → VOID.

THE FERTILE OCTOGENARIAN: Under the common law RAP, a person is conclusively presumed capable of having children regardless of age or physical condition. Even an 80-year-old is presumed capable — an afterborn child is always possible for a living person. This leads to seemingly absurd results but the NCA exam applies the common law rule.

THE UNBORN WIDOW: A gift "to the widow of my son John, if and when she survives John" — John's widow might be an afterborn person (John might marry after the testator's death). The widow's interest may vest on John's death + an indeterminate period = potentially beyond lives in being + 21 years → VOID.

INTEREST	ANALYSIS	RESULT
"To A if A reaches age 30"	A is alive at testator's death (life in being). A will either reach 30 within her lifetime or not — vests within a life in being.	VALID
"To A's first child to reach age 30" (A alive, no children)	A could have afterborn children (not lives in being). An afterborn child might not reach 30 within 21 years of all lives in being dying.	VOID
"To all my children who survive me"	Children must either survive the testator or not — resolved at death. Class closes at death.	VALID
"To grandchildren who reach 21" (children alive)	Children (lives in being) could have afterborn grandchildren who might not reach 21 within 21 years of all lives dying.	VOID

7.4.1 Class Gifts and the All-or-Nothing Rule

A contingent class gift is void under the RAP if there is ANY possibility that ANY member of the class could satisfy the condition outside the perpetuity period. This is the "all or nothing" rule — if the class could be struck, the entire class gift fails. A class gift is only saved if ALL possible members of the class must satisfy the condition within the perpetuity period.

7.4.2 Determinable Fee and Possibility of Reverter — RAP Issue

The POSSIBILITY OF REVERTER following a determinable fee is generally NOT subject to the RAP in the same way as a contingent remainder — it is a retained interest (already vested in the grantor) that merely awaits the natural end of the determinable estate. However, executory interests created in THIRD PARTIES following a determinable or conditional estate ARE subject to the RAP and must vest within the perpetuity period.

⚠ **EXAM TIP** — RAP STEP-BY-STEP EVERY TIME: The examiner awards marks for each step: (1) identifying the interest as contingent; (2) identifying the measuring life; (3) identifying the worst case; (4) concluding valid or void; (5) stating the consequence of voidness. A conclusion without the analysis earns no marks.

CHAPTER 8 — LEASES AND LICENCES: TYPES | SPENCER'S CASE | RICHFIELD | HIGHWAY PROPERTIES

8.1 The Nature of a Lease — Dual Character

A lease is both PROPRIETARY and CONTRACTUAL. As a proprietary interest, it binds the world — when A sells leased land to C, C takes subject to the lease (subject to registration rules in Torrens systems). As a contract, the parties owe each other the obligations under the lease terms, enforceable as contract law.

For a valid lease: (1) exclusive possession by the tenant; (2) for a term (certain or periodic); (3) usually at a rent (nominal consideration suffices). Without exclusive possession, the arrangement is a licence, not a lease.

8.2 Types of Tenancy

TYPE	DESCRIPTION	HOW TERMINATED
Term Certain	Fixed beginning and end date. Expires automatically on end date.	Expires on end date; may hold over as periodic tenancy.
Periodic Tenancy	Runs from period to period (week-to-week, month-to-month, year-to-year).	Notice of one full period (for yearly, often 6 months in Canada).
Tenancy at Will	No fixed term; either party may terminate at any time.	By either party giving notice.
Tenancy at Sufferance	Tenant holds over after lease expires without landlord's consent. No proprietary status.	Landlord may terminate immediately or accept rent (creating a new periodic tenancy).

8.3 Assignment vs Sublease — The Critical Distinction

RULE — ASSIGNMENT vs SUBLEASE

ASSIGNMENT: The tenant transfers the ENTIRE REMAINING TERM to the assignee. The assignee steps into the tenant's position with direct PRIVACY OF ESTATE with the landlord. The original tenant remains liable on PRIVACY OF CONTRACT.

SUBLEASE: The tenant transfers LESS THAN the entire remaining term (even ONE DAY less). The original tenant (sub-landlord) retains privity of estate with the head landlord; the sub-tenant has no direct legal relationship with the head landlord. Even one day makes the difference.

WHY IT MATTERS: PRIVACY OF ESTATE — direct landlord-tenant relationship; covenants that "touch and concern" the land (Spencer's Case) are enforceable between parties in privity of estate. PRIVACY OF CONTRACT — only between the original contracting parties. On ASSIGNMENT: the assignee has privity of estate with the head landlord and is directly liable for rent and running covenants. On SUBLEASE: the sub-tenant is NOT in privity with the head landlord.

8.4 Spencer's Case (1583) — Covenants Running with the Land

RULE — SPENCER'S CASE (1583); Merger Restaurants v D.M.E. Foods 1990 MB CA

FOR A COVENANT TO RUN WITH THE LAND ON ASSIGNMENT (binding the assignee): (1) TOUCH AND CONCERN: The covenant must touch and concern the land — it must relate to the mode of use of the land or affect the landlord-tenant relationship (not be purely personal). Examples that touch and

concern: pay rent; maintain premises; keep clean; repair; not to assign without consent. (2) INTENTION TO RUN: The parties must have intended the covenant to bind successors — implied from being in the lease document.

Merger Restaurants v D.M.E. Foods 1990 MB CA: A commercial lease covenant not to use the premises as a restaurant after the lease expired — on assignment, the question was whether the covenant ran to the assignee. HELD: *Spencer's Case* applied — covenants that touch and concern the land and are intended to bind successors are enforceable against assignees.

2025 SAMPLE EXAM Q3 (a): Dylan covenanted "to maintain the entrance and parking stalls clean and free of snow and ice." Does this touch and concern? YES — it relates directly to the use and maintenance of the demised premises. Was it intended to run? The covenant is in the lease document → implied intention. Therefore: The replacement tenant (assignee) is BOUND by this maintenance covenant under *Spencer's Case*.

8.5 Limits on Assignment — Richfield Properties (Sundance)

RULE — Sundance Investment Corporation v Richfield Properties 1983 ABCA

DEFAULT AT COMMON LAW: A TENANT HAS THE RIGHT TO ASSIGN FREELY — without restriction. IF THE TENANT GIVES UP THAT RIGHT (by covenant in the lease: "not to assign without the landlord's prior written consent"): The landlord may withhold consent ARBITRARILY AND UNREASONABLY — without giving any reasons.

This is the OPPOSITE of the duty to act reasonably that English law imposes (*Landlord and Tenant Act*) — in Canada at common law, arbitrary refusal is lawful where the tenant bargained away the right to assign.

THE SYLLABUS SPECIFICALLY HIGHLIGHTS: "Remember that the default position at common law is that the tenant has the right to assign the lease, but that if the tenant gives up that right, the landlord may withhold consent even arbitrarily and unreasonably."

2025 SAMPLE EXAM Q3 (b): Dylan covenanted "not to assign or transfer any part of the term of the lease without the prior written consent of the landlord." Dylan has given up the right to assign → the landlord may refuse consent arbitrarily. The landlord need not justify the refusal.

8.6 Obligations of Landlord and Tenant

Quiet Enjoyment — London Borough of Southwark v Mills [1999] HL

The landlord's covenant for quiet enjoyment is either express or implied in every lease. It promises that the tenant's possession and enjoyment will not be disturbed by the landlord or anyone claiming through the landlord. *Southwark v Mills*: The covenant is PROSPECTIVE — it relates to the landlord's future conduct and the conduct of those claiming through the landlord. It does NOT guarantee fitness for habitation at the time of letting, nor does it protect against conditions existing at the time of the letting. Neighbours are separate tenants — their noise is NOT a breach by the landlord (the landlord did not cause it). Soundproofing inadequate from the start does not breach quiet enjoyment but may breach other statutory obligations.

Tenant's Obligations — Rent, Repair, and Assignment

At common law, the obligation to pay rent is not conditional on the landlord's performance. The tenant must not commit waste. In commercial leases, repair and maintenance covenants are typically express. Where the lease

restricts assignment or subletting, breach is a breach of a material term — the landlord may seek injunction or claim forfeiture.

8.6.1 Merger Restaurants v D.M.E. Foods 1990 MB CA — Spencer's Case Applied

HELD: The covenant ran with the land and was binding on the assignee. The covenant "touched and concerned" the land — it related directly to the use of the demised premises after the tenancy. KEY ANALYSIS: Spencer's Case requires (i) the covenant touches and concerns the land; (ii) privity of estate between the parties seeking to enforce it. On assignment, the assignee steps into the shoes of the original tenant and privity of estate is established between the assignee and the landlord.

8.7 Remedies on Repudiation — Highway Properties

RULE — Highway Properties Ltd v Kelly, Douglas and Co 1971 SCC

A landlord whose commercial tenant REPUDIATES (abandons or denies the lease) has THREE OPTIONS:

OPTION 1 — DO NOTHING: Do not accept the repudiation. Continue to demand performance of the lease terms. Claim RENT AS IT FALLS DUE each month. The lease remains on foot. Practical problem: if the tenant has vacated and the landlord cannot make premises available, this may not be viable.

OPTION 2 — ACCEPT THE REPUDIATION, TERMINATE, AND CLAIM FULL DAMAGES: Accept the repudiation (communicate acceptance to the tenant — ending the lease). The duty to MITIGATE arises immediately — the landlord must take reasonable steps to re-let the premises. Claim: (a) ARREARS of rent to date of acceptance; AND (b) DAMAGES for the remaining term — the difference between the lease rate and the market rate for the remaining term, discounted to present value.

OPTION 3 — TERMINATE AND RE-LET ON TENANT'S ACCOUNT: Terminate the lease and RE-LET the premises. Hold the original tenant liable for the SHORTFALL — the difference between the rent the new tenant pays and what the original tenant should have paid, for the remainder of the original term. Damages = present value of the expected shortfall.

SIGNIFICANCE: Before Highway Properties, landlords could not claim anticipatory damages for future rent on a commercial lease — they were restricted to demanding rent as it fell due. Highway Properties brought commercial lease remedies into line with general contract law.

8.8 Leases vs Licences — Proprietary Status

RULE — Stiles v Tod Mountain Development Ltd 1992 BCSC

A LICENCE is a permission to use property — it does not create a proprietary interest. A licensee has no estate in the land. KEY QUESTION: Who, as a matter of SUBSTANCE, has the right to exclude others? If the occupier controls access → LEASE. If the landowner can enter and exclude others at will → LICENCE.

CONSEQUENCES: LEASE — binds the world (at common law); prior legal interest beats subsequent purchaser; in Torrens, depends on registration and short-term lease exceptions. LICENCE — merely personal; not binding on successors; a contractual licence gives the licensee a claim in contract against the licensor for breach if revoked without notice, but no rights against third parties.

△ **EXAM TIP** — LEASES ARE A TIER 2 TOPIC — EVERY DETAIL MATTERS. 2025 Sample Exam Q3 is a complete leases question (25 marks). It tests: Spencer's Case; Richfield; Highway Properties; and shared ownership accounting disputes. Know: assignment vs sublease (entire remaining term vs less); touch and concern test; default right to assign.

CHAPTER 9 — SHARED OWNERSHIP: JOINT TENANCY | FOUR UNITIES | SEVERANCE | DISPUTES

9.1 The Two Forms of Co-Ownership

Canadian law recognises two principal forms of concurrent ownership: joint tenancy and tenancy in common. The critical difference is the RIGHT OF SURVIVORSHIP — which attaches to joint tenancy but not tenancy in common.

9.2 Joint Tenancy — The Four Unities

RULE — FOUR UNITIES ("PITT") + RIGHT OF SURVIVORSHIP

FOR A JOINT TENANCY TO EXIST, all FOUR UNITIES must be present: (1) POSSESSION — each joint tenant is entitled to possession of the WHOLE; (2) INTEREST — each joint tenant holds the SAME quantum of interest for the SAME duration; (3) TITLE — each joint tenant must have received their interest from the SAME instrument at the same time; (4) TIME — each joint tenant's interest must have VESTED at the same time.

MEMORY AID: "PITT" — Possession, Interest, Title, Time. If any of the four unities is missing at creation, a tenancy in common is created instead.

THE EXAM ASSUMPTION: "In a devise or transfer of land to two or more persons, the devisees or transferees hold the land as TENANTS IN COMMON, unless a contrary intention appears in the instrument." → DEFAULT IS TIC. A JOINT TENANCY is only created if the instrument EXPRESSLY creates one ("as joint tenants") and the four unities are met.

RIGHT OF SURVIVORSHIP (IUS ACCRESCENDI): On the death of a joint tenant, that tenant's interest does NOT pass through their estate or by their will. It accrues AUTOMATICALLY to the surviving joint tenant(s). A joint tenancy interest cannot be passed by will — a will purporting to do so has no effect.

9.3 Tenancy in Common

Tenancy in common requires only UNITY OF POSSESSION. Each tenant in common holds a distinct (though undivided) share. That share passes through the tenant's estate on death and can be freely devised or transferred inter vivos. There is no right of survivorship. "Words of severance" in a conveyance create a tenancy in common ("to A and B in equal shares"; "to A and B as tenants in common"). Equity favours a tenancy in common where co-owners have unequal contributions, business relationships, or other factors suggesting they did not intend to share the right of survivorship.

9.4 Severance of a Joint Tenancy

RULE — WILLIAMS v HENSMAN (1861) — THREE METHODS OF SEVERANCE

SEVERANCE converts a joint tenancy into a tenancy in common — destroying the right of survivorship for the severed share. A joint tenant can sever their own interest WITHOUT the consent of the other joint tenants.

(1) AN ACT BY A JOINT TENANT OPERATING ON THEIR OWN SHARE: Unilateral alienation of the joint tenant's interest — by sale, mortgage, assignment. When one joint tenant sells or mortgages their interest, the buyer or mortgagee holds as a tenant in common with the remaining joint tenants (who remain joint tenants inter se). Does NOT require consent of the other joint tenants.

(2) **MUTUAL AGREEMENT:** All joint tenants agree to sever — need not be in writing, but must be clearly evidenced. Even an agreement to negotiate partition may suffice.

(3) **COURSE OF CONDUCT:** Conduct showing an intention to treat shares as separate — e.g., negotiations for partition; commencement of litigation for partition; physical occupation of separate portions showing mutual recognition of separate shares.

CANNOT SEVER BY WILL: A will operates only on death — at death, if the joint tenancy has not been severed, the right of survivorship has already operated. The testator's interest simply is not there to leave by will. This is the most commonly misunderstood severance principle.

9.3.1 Key Canadian Severance Cases

Robb v Robb 1993 BCSC

A husband and wife held property as joint tenants. Divorce proceedings were commenced and the property was listed for sale as part of matrimonial property negotiations. The husband died before proceedings concluded. HELD: Commencement of partition proceedings, or negotiations treating the property as a divisible matrimonial asset, can constitute a course of conduct sufficient to sever a joint tenancy (third limb of *Williams v Hensman*). The husband's estate held his share as a tenant in common — it did not pass by survivorship to the widow.

Jansen v Niels Estate 2017 ONCA

Two sisters held property as joint tenants. One sister signed a promissory note and mortgage in favour of the other, secured against the property. Before the mortgage was discharged, the mortgagee sister died. HELD: The execution of a mortgage by one joint tenant over their interest in co-owned property constitutes a **UNILATERAL ALIENATION** operating on their own share — the **FIRST** method of severance under *Williams v Hensman*. The joint tenancy was severed in Ontario when the mortgage was granted, even without disclosure to the other joint tenant.

Hansen Estate v Hansen 2012 ONCA

A husband made a will leaving his interest in jointly held property to his children from a prior marriage. He died without taking any steps to sever the joint tenancy during his lifetime. HELD: The execution of a will purporting to leave a joint tenancy interest to third parties does **NOT** sever the joint tenancy. A will operates only at death — at which point, if the joint tenancy has not been severed, the right of survivorship has already operated. The wife, as the surviving joint tenant, took the entire property by survivorship.

9.5 Resolving Co-Ownership Disputes

Partition and Sale

Either co-owner may apply to court for partition (physical division) or sale (forced sale with proceeds distributed proportionately). Courts prefer sale where the property cannot be practically divided. Provincial partition and sale legislation (e.g., Ontario's Partition Act, RSO 1990, c P.4) gives each co-owner the right to bring an application. A co-owner's application cannot be dismissed merely because the other co-owner objects.

Accounting Between Co-Owners

A co-owner who receives **EXCLUSIVE PROFITS** from the co-owned property must **ACCOUNT** to the other co-owner for their proportionate share of those profits. A co-owner who pays more than their proportionate share of necessary expenses (taxes, mortgage, essential repairs) is entitled to reimbursement. Improvements beyond necessary maintenance generally do not give rise to a reimbursement right unless there is express agreement.

OCCUPATION RENT: A co-owner who **EXCLUDES** the other from possession of the co-owned property may be liable to pay occupation rent — the market value of the other's share of the property's rental value. Mere use by one co-owner, without excluding the other, does **NOT** give rise to an obligation to pay occupation rent.

△ **EXAM TIP** — FOUR UNITIES + SURVIVORSHIP = THE EXAM CORE. (1) Whether a joint tenancy or TIC was created (requires all four unities + express language for JT); (2) Whether a joint tenancy has been severed (*Williams v Hensman* — three methods, particularly unilateral alienation); (3) What happens to the severed share on death (passes through estate, NOT by survivorship). In the sample exam assumption, TWO OR MORE PERSONS = TENANCY IN COMMON by default. Joint tenancy requires express statement.

CHAPTER 10 — SERVITUDES: EASEMENTS | RESTRICTIVE COVENANTS | POSITIVE COVENANTS | PROFITS

10.1 The Nature of Easements

RULE — FOUR REQUIREMENTS: Re Ellenborough Park [1956] UK CA

AN EASEMENT is a non-possessory right to use another person's land for a specific purpose. The easement holder does not have possession; the servient owner retains possession.

- (1) There must be a DOMINANT TENEMENT and a SERVIENT TENEMENT.
- (2) The easement must ACCOMMODATE AND SERVE the dominant tenement — it must provide a genuine benefit related to the use and enjoyment of the dominant land, not merely a personal benefit to the individual owner.
- (3) The DOMINANT AND SERVIENT OWNERS must be DIFFERENT PERSONS (you cannot have an easement over your own land).
- (4) The right must be CAPABLE OF FORMING THE SUBJECT MATTER OF A GRANT — sufficiently certain, identifiable, not too wide or vague to be defined in a deed.

CRITICAL: AN EASEMENT CANNOT BE HELD "IN GROSS" — it must be appurtenant to a dominant tenement. An easement without a benefitting parcel of land is not a valid easement (contrast with a PROFIT À PRENDRE, which can be held in gross).

10.2 Creation of Easements

RULE — FOUR CREATION METHODS

(a) EXPRESS GRANT: By deed specifically creating the easement. Clear, registered, and binding on successors.

(b) IMPLIED GRANT — NECESSITY: Where land is conveyed and left COMPLETELY LANDLOCKED, a right of access is implied over the grantor's retained land. There must have been a COMMON GRANTOR who once owned both parcels and conveyed one without reserving or granting access. *Wong v Beaumont Property Trust [1965] 1 QB 173 (UK CA)*: A restaurant tenant required a ventilation duct through the landlord's retained premises to comply with health regulations — the premises could not lawfully operate as a restaurant without it. HELD: Easement implied — the parties' common intention (premises demised for use as a restaurant) required the ventilation right.

(c) IMPLIED GRANT — WHEELDON v BURROWS RULE: On conveyance of part of an owner's land, quasi-easements exercised over the retained land that are (i) continuous and apparent; (ii) reasonably necessary for the use of the conveyed land; (iii) in use at the time of the conveyance — are impliedly granted to the grantee.

(d) PRESCRIPTION (LOST MODERN GRANT): Long open use as of right for the prescriptive period (generally 20 years in Canada). Requirements: nec vi (not by force), nec clam (not secretly), nec precario (not by permission). NOTE: The 2022 sample exam Q2 explicitly excludes prescriptive easements — prescription is unlikely to be heavily tested.

10.2.1 Reservation of Easements

When a grantor conveys part of their land and wishes to retain a right over the conveyed land for the benefit of the retained land, this is a RESERVATION. The general rule is that a grantor cannot, by reservation, create rights beyond those they had before the conveyance. A reservation must be expressly stated in the instrument — it will not be implied as generously as an implied grant. Courts apply the principle that a grantor cannot derogate from their grant by implying reservations in their own favour.

10.3 Scope, Location, and Termination

RULE — SCOPE: Laurie v Winch [1953] 1 SCR 49; Malden Farms v Nicholson 1955 ONCA; Kaminskas v Storm 2009 ONCA; Barton v Raine 1980 ONCA

SCOPE OF AN EASEMENT: An easement must be used WITHIN THE PURPOSE for which it was granted — not extended beyond its granted scope. Barton v Raine 1980 ONCA: The extent of use authorised is determined by the purpose for which it was granted and the circumstances existing at the time of the grant. Kaminskas v Storm 2009 ONCA: Courts interpret the registered easement grant carefully — neither party may unilaterally expand or restrict it.

HARRIS v FLOWER RULE (Malden Farms v Nicholson 1955 ONCA): An easement appurtenant to a dominant tenement CANNOT BE USED TO BENEFIT LAND OTHER THAN THAT DOMINANT TENEMENT. If the holder of the dominant tenement acquires additional land and seeks to use the easement to benefit both the original dominant land and the new land, the use for the new land is UNAUTHORIZED. This is especially relevant where a developer purchases adjacent land and attempts to use an existing right of way for a larger development.

Laurie v Winch [1953] 1 SCR 49: Where an easement is granted for access to a property and the dominant tenement is later subdivided, the easement may be used for the benefit of the subdivided parcels provided the use does not substantially increase the burden on the servient tenement beyond what was contemplated at the time of grant.

TERMINATION OF EASEMENTS: (1) UNITY OF SEISIN — when the same person acquires both the dominant and servient tenements, the easement merges and is extinguished. If the properties are later re-separated, the easement does NOT automatically revive. (2) RELEASE — the dominant owner releases the easement by deed. Cannot be done informally. (3) ABANDONMENT (Bairn Corporation v Gabert 2022 ABKB) — requires (a) non-use; AND (b) clear intention to permanently relinquish the right. NON-USE ALONE IS NOT ABANDONMENT. Evidence of intent: demolition of the dominant tenement; permanent fencing across the right of way by the dominant owner; written statement of abandonment.

10.4 Restrictive Covenants — Tulk v Moxhay

RULE — TULK v MOXHAY [1848]; Berry v Indian Park Association 1999 ONCA (Building Schemes)

TULK v MOXHAY [1848]: Leicester Square was sold with a covenant by the purchaser not to build on the square. A later owner (Moxhay) who knew of the covenant sought to build on it. HELD: The covenant was binding on Moxhay because he had NOTICE of it.

FOUR REQUIREMENTS FOR A RESTRICTIVE COVENANT TO BIND SUCCESSORS: (1) The covenant must be NEGATIVE IN SUBSTANCE — it must restrict the use of the land. Test: Does the covenant require the covenantor to put their hand in their pocket to perform it? If yes → positive covenant → does NOT run. "Shall not build above two storeys" = negative. "Shall maintain the fence" = positive. (2) The covenant must be MADE FOR THE BENEFIT OF LAND RETAINED by the covenantee — a dominant tenement must exist. (3) The covenant must have been INTENDED TO RUN

with the covenantor's land. (4) The successor must have NOTICE — actual, constructive, or registration notice.

RUNNING OF THE BENEFIT: (a) EXPRESS ANNEXATION — benefit expressly annexed to the dominant land in the deed; (b) IMPLIED ANNEXATION — sometimes inferred from circumstances; (c) ASSIGNMENT — benefit expressly assigned with the dominant tenement; (d) BUILDING SCHEME (Berry v Indian Park Association 1999 ONCA) — where a common developer sells lots in a subdivision subject to mutual covenants, a building scheme exists — all lot owners can enforce the covenants against each other as a reciprocal system.

880682 Alberta Ltd v Molson Breweries Properties Ltd 2002 ABQB: Restrictive covenant analysis — requirements and application. Swan Properties Ltd v Irving Oil 2004 NLSCTD: Restrictive covenants — benefit and running requirements.

10.5 Positive Covenants — The Canadian Rule

RULE — Durham Condominium Corporation No. 123 v Amberwood Investments 2002 ONCA

POSITIVE COVENANTS DO NOT RUN WITH FREEHOLD LAND IN CANADA to bind successors in title at law or in equity. A positive covenant imposes an obligation to spend money or take affirmative action — the law treats this as a personal obligation between the original contracting parties. A successor purchaser is NOT bound by the original covenantor's positive promise.

BYPASS OPTIONS: (1) CHAIN OF INDEMNITY — on each sale, the vendor requires the purchaser to covenant personally to observe the obligation and indemnify the vendor. Problem: the chain breaks if any link fails (e.g., insolvency). (2) LONG LEASE with positive covenants — Spencer's Case covenants touching and concerning the land run to assignees. (3) BENEFIT-BURDEN PRINCIPLE (Halsall v Brizell) — a person cannot take the benefit (use the road) while rejecting the associated burden (contribute to road maintenance). Equity may impose the burden on a successor who also seeks to take the benefit. (4) LAND CHARGE/ENCUMBRANCE — create a statutory charge or legal encumbrance securing the positive obligation.

10.6 Profit à Prendre

A profit à prendre is the right to take something from another person's land — timber, minerals, fish, game, or other natural products. **KEY CHARACTERISTICS:** (1) Can be held IN GROSS (without a dominant tenement) — unlike an easement; (2) Must be granted by DEED; (3) Must be SPECIFIC as to what can be taken and the extent of the right; (4) May be exclusive or non-exclusive.

DISTINGUISHING FROM AN EASEMENT: Easement = right to USE the land in a certain way (e.g., cross it). Requires dominant tenement. Profit = right to TAKE from the land. Can be held in gross.

DISTINGUISHING FROM A LEASE: Lease = exclusive POSSESSION of the land for a term. Creates a leasehold estate. Profit = right to take from the land — the owner retains possession.

SAMPLE EXAM Q3 (2022): "The right to drill for and excavate gravel, peat, sand, and granite on or under [part of Blackacre]" = PROFIT À PRENDRE (right to take natural products). Separately: "exclusive possession of [a designated portion of Blackacre] for a period of 25 years" = LEASE (exclusive possession + term = leasehold). Right of access over the surface = EXPRESS EASEMENT (appurtenant to the profit).

△ **EXAM TIP — EASEMENTS AND RESTRICTIVE COVENANTS — KEY DISTINCTIONS:** (1) Easements require both dominant and servient tenements (cannot be held in gross). Profits CAN be held in gross. (2) Restrictive covenants run with land to bind successors (*Tulk v Moxhay*). Positive covenants do NOT run in Canada (*Durham*). (3) *Wheeldon v Burrows*: implied easements on conveyance. (4) *Harris v Flower* rule: easement cannot be used to benefit non-dominant land. (5) 2022 exam Q3 requires categorising all interests — practise labelling each interest precisely.

CHAPTER 11 — PRIORITIES AND REGISTRATION: COMMON LAW | DEEDS REGISTRATION | TORRENS TITLE

11.1 Priority Disputes — The Four Contests at Common Law

RULE — THE FOUR PRIORITY CONTESTS AT COMMON LAW

CONTEST 1 — PRIOR LEGAL vs SUBSEQUENT LEGAL: The first-in-time legal interest prevails. *Nemo dat quod non habet* — you cannot give what you do not have. If A conveyed fee simple to B, A has nothing left to convey to C.

CONTEST 2 — PRIOR EQUITABLE vs SUBSEQUENT EQUITABLE: Priority generally goes to the first-in-time (*qui prior est tempore potior est iure*). **EXCEPTION:** Where equities are equal, later conduct may tip the balance.

CONTEST 3 — PRIOR LEGAL vs SUBSEQUENT EQUITABLE: Prior legal prevails — even against a subsequent equitable interest. **EXCEPTION:** Estoppel — where the legal owner's conduct led the subsequent equitable claimant to act to their detriment.

CONTEST 4 — PRIOR EQUITABLE vs SUBSEQUENT LEGAL (THE KEY CONTEST): The subsequent legal estate prevails IF the subsequent legal owner is a **BONA FIDE PURCHASER FOR VALUE WITHOUT NOTICE** — "EQUITY'S DARLING." **FOUR REQUIREMENTS:** (1) **PURCHASER** — must have acquired the legal interest by purchasing it (not as a donee or through succession); (2) **GOOD FAITH** — no fraud; honest dealing; (3) **FOR VALUE** — must have given money or money's worth (love and affection is NOT value); (4) **WITHOUT NOTICE** of the prior equitable interest.

11.1.1 The Bona Fide Purchaser — Three Forms of Notice

(a) **ACTUAL NOTICE:** Actual knowledge of the prior equitable interest at the time of purchase. (b) **CONSTRUCTIVE NOTICE:** Knowledge that would have been obtained by making the inquiries that a reasonable purchaser in the same position would make — inspection of the property; examination of the title deeds; inquiry of persons in occupation. (c) **IMPUTED NOTICE (NOTICE THROUGH AGENT):** Knowledge of the purchaser's solicitor or agent during the transaction is imputed to the purchaser. Under Torrens: constructive notice does NOT defeat indefeasibility — this is the critical difference from the common law rule.

11.2 Deeds Registration Systems

Deeds registration systems record the existence of documents affecting title to land. They do NOT guarantee the state of title — they only ensure that registered instruments give notice to later parties. Three models:

MODEL	RULE	PROVINCES
RACE	First to register wins — regardless of notice.	Rare; largely historic.
NOTICE	A registered interest prevails if the registrant had no notice of a prior unregistered interest. If the registrant had notice, the prior interest prevails.	Older Ontario Registry Act areas.
RACE-NOTICE	First to register AND had no notice of competing interest at the time of registration prevails.	Most modern deeds registration statutes.

IMPORTANT — ONTARIO REGISTRATION NOTE: While Ontario's Registry Act historically operated as a notice system for deeds registration, the large majority of Ontario land has now been converted to the Land Titles (Torrens)

system under the Land Registration Reform Act and Ontario's ongoing conversion programme. Most Ontario land is now governed by the Torrens indefeasibility principles described in section 11.3 below, NOT by the Registry Act notice rules. When a question specifies "deeds registration (notice system)," apply the Registry Act notice rules; when a question specifies "land titles" or "Torrens," apply the Land Titles Act indefeasibility principles.

11.3 Title Registration — The Torrens System

RULE — THE TORRENS SYSTEM (Land Titles): THREE CARDINAL PRINCIPLES + INDEFEASIBILITY

(1) THE MIRROR: The register reflects and guarantees the true state of title. What is on the register is the authoritative statement of who owns the land and what encumbrances affect it.

(2) THE CURTAIN: A purchaser need not look behind the register — they can rely on the register alone and need not investigate prior transactions. Unregistered interests are generally NOT binding on a subsequent registered owner.

(3) THE NET (ASSURANCE FUND): Where errors in the register cause loss to an innocent party, the state compensates through the Assurance Fund.

INDEFEASIBILITY — TWO COMPETING APPROACHES: (a) IMMEDIATE INDEFEASIBILITY: The registered owner obtains indefeasible title the MOMENT they register — even if they dealt with a fraudster, as long as they themselves are not the fraudster and did not know of the fraud. ONTARIO ADOPTS THIS APPROACH. (b) DEFERRED INDEFEASIBILITY: The first purchaser from a fraudster does NOT get indefeasible title. Only the SECOND purchaser (who dealt with the first — who had a registered title, however obtained) gets indefeasible title.

FRAUD EXCEPTION (applies even under immediate indefeasibility): A person who obtained registration by FRAUD or who had ACTUAL KNOWLEDGE of fraud does NOT get indefeasible title. Fraud = actual dishonest conduct by the registered owner themselves. CONSTRUCTIVE NOTICE of fraud is NOT enough — the fraud must be actual and known to the registered owner.

2025 SAMPLE EXAM Q4 (TRUE/FALSE #5): "In the Torrens system, an unregistered first-in-time property interest does not have priority over a registered second-in-time interest. TRUE or FALSE?" ANSWER: TRUE — as a general rule. The Torrens system protects the registered owner. An unregistered interest does not have priority over the registered interest (assuming the registered owner is not guilty of fraud and there are no applicable statutory exceptions).

STATUTORY EXCEPTIONS: (i) SHORT-TERM LEASES (typically 3 years or less, particularly in actual possession) — most Torrens statutes protect these without registration; (ii) CROWN INTERESTS — certain rights reserved in a Crown grant may bind without registration; (iii) STATUTORY CHARGES — e.g., unpaid property taxes.

11.3.1 The Fraud Exception — Immediate Indefeasibility Applied

Even under an immediate indefeasibility system, a registered owner does NOT obtain indefeasible title if: (1) The registered owner PERSONALLY committed the fraud that led to the registration; or (2) The registered owner had ACTUAL KNOWLEDGE of a prior fraud at the time of their registration and exploited that knowledge. CONSTRUCTIVE NOTICE IS NOT ENOUGH under Torrens — this is the critical difference from the common law bona fide purchaser rule.

11.3.2 The Assurance Fund

THE NET — COMPENSATION FOR ERRORS IN THE REGISTER: Where the Torrens system causes or permits loss to an innocent party (by protecting the registered owner at the expense of a prior legitimate owner), the state

compensates from the Assurance Fund. A person who has been deprived of an interest through the operation of the Torrens system (through registration of a fraudulent or erroneous instrument) and who cannot recover the land itself may claim compensation. Limitations: The Assurance Fund does not compensate persons who contributed to their own loss through negligence or failure to register promptly.

11.4 Chippewas of Sarnia Band v Canada (AG) 2000 ONCA

The Chippewas of Sarnia Band had an Aboriginal title claim to certain lands in Ontario that had been alienated to private owners generations earlier. The private landowners had Torrens title. HELD: The Torrens system's indefeasibility provisions, combined with the passage of time and the state of the land, meant that the private owners' registered title prevailed. The case illustrates the tension between Torrens indefeasibility and Aboriginal title claims — private landholders who have relied on the register are protected even where historic Crown conduct was wrongful. The Aboriginal group's remedy is against the Crown (compensation through the treaty/claims process), not recovery of the specific land.

11.5 Comparison: Common Law vs Deeds Registration vs Torrens

A recurring exam question asks candidates to compare priority outcomes under all three systems for the same fact pattern. The following framework enables systematic comparison:

SAMPLE EXAM Q5 (2022): A owns Greenacre in fee simple. A leases to B for 10 years (not registered). Two years later, A sells to C (C registers). C was not aware of the lease.

AT COMMON LAW: B's 10-year lease is a LEGAL INTEREST (exclusive possession + term). Legal interests bind the world — including subsequent purchasers — without registration. C takes Greenacre subject to B's lease. C cannot demand possession until the end of B's lease term. RESULT: B wins; C takes subject to the lease.

UNDER DEEDS REGISTRATION (race-notice): C, who registered without actual notice of the lease, takes priority over B's unregistered interest. BUT: If B was in actual possession, which C should have discovered on inspection of the property, C may be bound by constructive notice. IF B IS IN POSSESSION → C had constructive notice → B's lease protected. IF B NOT IN POSSESSION → C takes free of B's unregistered lease.

UNDER TORRENS: C as registered owner obtains indefeasible title. B's unregistered lease is at risk under the curtain principle. EXCEPTION: If B's 10-year lease falls within the statutory short-term lease exception (typically 3 years or less) — NO, a 10-year lease does NOT qualify. Under Torrens, C generally takes free of B's 10-year unregistered lease — B's remedy is against A in contract for breach of the lease.

⚠ **EXAM TIP** — PRIORITIES QUESTION = TORRENS vs COMMON LAW = ALWAYS ON THE EXAM. Both sample exams test priorities — Sample 1 Q5 directly; Sample 2 Q4 True/False #5. Know: (1) at common law, prior legal beats subsequent; prior equitable loses to bona fide purchaser of legal estate without notice; (2) Torrens: indefeasibility; curtain principle; fraud exception; immediate vs deferred; (3) deeds registration: race/notice/race-notice. ALWAYS ANALYZE ALL THREE SYSTEMS when a fact pattern involves both registered and unregistered interests.

APPENDIX A — MASTER CASE LAW REFERENCE TABLE

All assigned cases organised by topic. Use as open-book tab.

CASE	TOPIC	KEY RULE
<i>Annapolis Group v Halifax</i> , 2022 SCC 36	Ch.1	Constructive taking: "advantage" to state suffices; no proprietary acquisition required. 5-4 majority, Wagner CJ.
<i>PrairieSky Royalty v Yangarra</i> , 2025 ABCA 240 (paras 29-34)	Ch.1	Mineral rights characterisation as property; freehold mineral estates and separability from surface rights.
<i>Didow v Alberta Power</i> , 1988 ABCA	Ch.2	Power lines through airspace = trespass. Landowner has rights in airspace above their land — no physical damage needed.
<i>Blewman v Wilkinson</i> [1979] NZCA	Ch.2	Accretion: gradual recession of water → boundary follows water. Avulsion: sudden change → boundary stays.
<i>R v Nikal</i> [1996] 1 SCR 1013	Ch.2	Water boundaries; Crown owns beds of navigable rivers; riparian rights and Aboriginal fishing rights.
<i>MacKenzie v Alberta (Registrar)</i> , 2022 ABCA 277 (paras 30-33)	Ch.2	Mineral rights as separate freehold estate; title and registration of mineral interests.
<i>La Salle Recreations v Canadian Camdex</i> , 1969 BCCA	Ch.2	Fixtures: purpose of annexation test governs. Laundry machines = chattels despite physical attachment.
<i>Scott v Filipovic</i> , 2015 BCCA	Ch.2	Fixtures test applied; security interests in chattel vs fixture status; PPSA interaction.
<i>The Tubantia</i> [1924]	Ch.3	Corpus + animus → possessory title. Salvage company had possessory title to sunken ship.
<i>Trachuk v Olinek</i> , 1995 AB KB	Ch.3	Finders: occupier must take steps to control objects; parking lot owner had not → finder prevails.
<i>Parker v British Airways</i> [1982] UK CA	Ch.3	Finder acquires title vs true owner. Occupier prevails only if clear intention to control objects + actual control.
<i>Popov v Hayashi</i> , 2002 Cal. Super.	Ch.3	Pre-possessory interest: unlawful interference before possession complete → equitable division of proceeds.
<i>Thomas v Times Book Co</i> [1966] UK	Ch.3	Gift requires: donative intent + delivery (actual, symbolic, constructive) + acceptance.
<i>Stewart v Gustafson</i> , 1998 SK KB	Ch.3	Deliberately concealed money in field = occupier (landowner) has better right than finder.
<i>Armory v Delamirie</i> (1722)	Ch.3	Chimney sweep's boy found jewel; goldsmith's apprentice took the stones while pretending to weigh them. Prior possessor beats subsequent possessor.
<i>Re Bayoff Estate</i> , [2000] SKQB	Ch.3	Donatio mortis causa: gift and delivery requirements in estate context.
<i>The Pioneer Container</i> [1994] UKPC	Ch.3	Sub-bailment: sub-bailee directly liable to original bailor; original bailor's rights preserved.
<i>Punch v Savoy's Jewellers</i> , 1986 ONCA	Ch.3	Commercial bailment: bailor establishes loss; burden shifts to bailee to prove loss was without negligence.

CASE	TOPIC	KEY RULE
<i>Re Walker [1925] ONT</i>	Ch.4	Will interpretation: life estate vs fee simple; read entire instrument for testator's intention.
<i>Re Taylor, 1972 ONT SC</i>	Ch.4	Duties of maintenance in will indicate life estate, not fee simple.
<i>Martini Estate v Christensen, 1999 ABCA</i>	Ch.4	Conditional devises: interpretation of limitation words in wills.
<i>McKeen Estate v McKeen Estate, 1993 NB KB</i>	Ch.4 + 7	Conditional transfers: validity of conditions. Condition tied to life in being (Harry) → resolves within RAP period → valid. Appears in both estates (Ch.4) and conditional transfer (Ch.7) analysis.
<i>Tsilhqot'in Nation v BC, 2014 SCC 44</i>	Ch.5	Aboriginal title: sufficiency + continuity + exclusivity. Content: exclusive use + economic benefit + inherent limitation. Post-recognition: consent or compelling/substantial objective + fiduciary duty.
<i>K'omoks First Nation v Thordarson, 2018 BCPC 114</i>	Ch.5	Aboriginal rights short of title: no exclusive possession required (site-specific cultural practices).
<i>R v Van der Peet [1996] 2 SCR 507</i>	Ch.5	Test for Aboriginal rights short of title: integral cultural practice prior to European contact. No exclusive possession required.
<i>R v Sparrow [1990] SCC</i>	Ch.5	Justified infringement of Aboriginal rights short of title: valid legislative objective + consistency with fiduciary duty.
<i>Haida Nation v BC (Minister of Forests), 2004 SCC 73</i>	Ch.5	Duty to consult: spectrum from lower end (notice + information) to upper end (full consultation + possible accommodation).
<i>Indian Act, RSC 1985, c I-5</i>	Ch.5	Reserves; Certificates of Possession; land management. CPs transferable only to Band members.
<i>Nisga'a Final Agreement Act, SC 2000, c 7; SBC 1999, c 2 (BC)</i>	Ch.5	Modern treaty; Indigenous self-government land tenure; modified fee simple under Nisga'a law; Nisga'a government has legislative authority over Nisga'a Lands.
<i>Pecore v Pecore, 2007 SCC 17</i>	Ch.6	Resulting trust: parent → adult child = presumption of resulting trust (not gift). Parent → minor child = presumption of advancement.
<i>Soulos v Korkontzilas, 1997 SCC</i>	Ch.6	Institutional constructive trust: four conditions for proprietary remedy for breach of equitable duty.
<i>Pettkus v Becker, 1980 SCC</i>	Ch.6	Foundational remedial constructive trust based on unjust enrichment in domestic relationship.
<i>Kerr v Baranow, 2011 SCC 10</i>	Ch.6	JFV: four factors. Value survived vs quantum meruit. Common intention resulting trust DEAD in domestic disputes. Constructive trust requires causal link to specific property + monetary award insufficient.
<i>Moore v Sweet, 2018 SCC 52</i>	Ch.6	Unjust enrichment without JFV: available. Constructive trust requires nexus between contribution and specific property + monetary award insufficient.
<i>Stuartburn (Municipality) v Kiansky, 2001 MBQB</i>	Ch.7	Vested vs contingent interests.
<i>Fennell v Fennell, 2011 NL SC</i>	Ch.7	In terrorem (no-contest) clause in will; determinable limitation; validity analysis.
<i>McKeen Estate v McKeen Estate, 1993 NB KB</i>	Ch.7	Conditional transfers: condition subsequent in will; certainty analysis; RAP validity where condition resolves within life in being.

CASE	TOPIC	KEY RULE
<i>Canada Trust v Ontario HRC (Leonard Foundation)</i> , 1990 ONCA	Ch.7	Discriminatory trust condition (race/religion) void on public policy. Trust reformulated when condition was central to its purpose.
<i>McCorkill v Streed</i> , 2014 NBQB	Ch.7	Bequest to white supremacist organisation void on public policy.
<i>Spence v BMO Trust</i> , 2016 ONCA	Ch.7	Racial condition in will void on public policy; void condition struck; gift survived.
<i>MacDonald v Brown Estate</i> , 1995 NS SC	Ch.7	Conditions against marriage: total restraint = void; partial may be valid.
<i>H.J. Hayes Co v Meade</i> , 1987 NB KB	Ch.7	Uncertainty test: condition subsequent must be sufficiently certain to determine breach.
<i>Blackburn v McCallum</i> , 1903 SCC	Ch.7	Restraint on alienation of fee simple = void. Partial restraints may be valid if reasonable in scope.
<i>Ottawa (City) v Clublink</i> , 2021 ONCA	Ch.7	Determinable fee simple: possibility of reverter retained by original grantor's successors is enforceable when the limiting condition is breached.
<i>Merger Restaurants v D.M.E. Foods</i> , 1990 MB CA	Ch.8	Spencer's Case applied in Canada: covenants touching and concerning the land run to assignees.
<i>Sundance v Richfield Properties</i> , 1983 ABCA	Ch.8	Assignment: where tenant gives up right to assign, landlord may withhold consent arbitrarily. Default = tenant may assign.
<i>London Borough of Southwark v Mills</i> [1999] HL	Ch.8	Quiet enjoyment: landlord's own acts + those claiming through landlord; covenant is prospective; does not guarantee fitness at the time of letting.
<i>Highway Properties v Kelly Douglas</i> , 1971 SCC	Ch.8	Landlord's three remedies on tenant's repudiation: (1) do nothing; (2) accept + terminate + full future damages; (3) terminate + re-let on tenant's account.
<i>Stiles v Tod Mountain Development Ltd</i> , 1992 BCSC	Ch.8	Licence vs lease: exclusive possession essential for lease; licence = permission only, no proprietary status.
<i>Robb v Robb</i> , 1993 BCSC	Ch.9	Joint tenancy severance: divorce proceedings + treating property as divisible asset = course of conduct severance (<i>Williams v Hensman</i> , third limb).
<i>Jansen v Niels Estate</i> , 2017 ONCA	Ch.9	Severance by mortgage — unilateral act on own share (first limb of <i>Williams v Hensman</i>); joint tenancy severed when one joint tenant grants a mortgage.
<i>Hansen Estate v Hansen</i> , 2012 ONCA	Ch.9	Joint tenancy: a will does NOT sever — will operates at death; by death, right of survivorship has already operated.
<i>Bairn Corporation v Gabert</i> , 2022 ABKB	Ch.10	Abandonment of easement: requires clear intention to permanently relinquish, not mere non-use.
<i>Wong v Beaumont Property Trust</i> [1965] 1 QB 173 (UK CA)	Ch.10	Implied easement of necessity: premises cannot lawfully be used for intended purpose without the right; common intention of parties implies the easement.
<i>Barton v Raine</i> , 1980 ONCA	Ch.10	Scope of easements: extent of use authorised determined by the purpose for which it was granted.
<i>Laurie v Winch</i> , [1953] 1 SCR	Ch.10	Location of easements; use of easement after subdivision of dominant tenement — may benefit subdivided parcels if burden not substantially

CASE	TOPIC	KEY RULE
49		increased.
<i>Malden Farms v Nicholson</i> , 1955 ONCA	Ch.10	Harris v Flower rule: easement cannot benefit non-dominant land.
<i>Kaminskas v Storm</i> , 2009 ONCA	Ch.10	Easement disputes: interpreting the registered grant carefully; scope of the right granted; neither party may unilaterally expand or restrict.
<i>Tulk v Moxhay</i> [1848]	Ch.10	Restrictive covenants run with land in equity against successors with notice. Four requirements.
<i>Berry v Indian Park Association</i> , 1999 ONCA	Ch.10	Building schemes: mutual covenants in subdivision may be enforceable between all lot owners under a building scheme.
<i>880682 Alberta v Molson Breweries</i> , 2002 ABQB	Ch.10	Restrictive covenant analysis: requirements and application. Registration gives constructive notice to subsequent purchasers.
<i>Swan Properties v Irving Oil</i> , 2004 NLSCTD	Ch.10	Restrictive covenants: benefit running requirements — express annexation, implied annexation, assignment, or building scheme.
<i>Durham CC No. 123 v Amberwood</i> , 2002 ONCA	Ch.10	Positive covenants DO NOT run with land in Canada; bypass options; <i>Halsall v Brizell</i> benefit-burden principle.
<i>Chippewas of Sarnia Band v Canada</i> , 2000 ONCA	Ch.11	Torrens indefeasibility vs Aboriginal title: registered private title protected; Aboriginal group's remedy = compensation from Crown, not land recovery.

APPENDIX B — ISSUE-SPOTTER + STANDARD EXAM ASSUMPTIONS

Standard Exam Assumptions (Printed on Every Property Exam)

ASSUMPTION	IMPLICATION	
(a) Common law rules on future interests and perpetuities apply — no statutory reforms.	Apply common law RAP. No 80-year statutory period. No cy-pres. No wait-and-see. "Worst case" test.	
(b) Transfer without words of limitation = entire interest of grantor/testator.	Presume fee simple unless contrary intention appears. No need for "and his heirs."	
(c) Transfer to two or more persons = tenancy in common (not joint tenancy) unless contrary intention.	Default is TIC. Joint tenancy only if expressly stated AND four unities present.	
(d) Adverse possession period = 10 years.	Relevant to possessory title and trespass questions.	

Property Issue-Spotter — Trigger Words and Their Issues

TRIGGER WORD / FACT	ISSUES IN PLAY — CHECK EACH
"will" / "died" / testator named	Estates: fee simple (presumption); life estate? Words of limitation? Sequential ownership. Conditions: precedent/subsequent/determinable — certain? Public policy? Restraint on alienation? RAP: apply to each contingent interest. Waste obligations for life tenant.
"lake receded" / "river shifted" / "water boundary"	Accretion (Blewman): gradual recession = boundary follows water. Avulsion: sudden = boundary stays. Riparian rights (R v Nikal). Crown owns beds of navigable rivers.
"object attached to" / "structure placed on" / "hut on logs"	Fixtures (La Salle Recreations; Scott v Filipovic): TWO PARTS — (1) degree of annexation; (2) PURPOSE of annexation (more important). Tenant's fixtures: may remove before lease expires. Security interest: conditional sale / PPSA registration vs fixture status.
"found" / "picked up" / "discovered on land"	Finders (Parker v British Airways): finder acquires title vs true owner; finder vs occupier (occupier must have manifested clear intention to control AND exercised it). Pre-possessory interest (Popov: unlawful interference). Abandonment vs lost vs mislaid vs concealed (Stewart v Gustafson).
"gift" / "gave" / "transferred without payment"	Gifts inter vivos (Thomas v Times Book Co): donative intent + delivery (actual, symbolic where impractical, constructive) + acceptance. Resulting trust (Pecore): parent → adult child = presumption of resulting trust NOT gift. Donatio mortis causa: in contemplation of death + conditional + delivery.
"stored with" / "left for repair" / "consigned to"	Bailment (Punch v Savoy): establish nature (mutual benefit = ordinary care). Burden shifts to bailee on proof of loss. Sub-bailment (Pioneer Container): sub-bailee directly liable to original bailor.
"joint tenants" / "to X and Y"	DEFAULT = TENANCY IN COMMON (exam assumption). For joint tenancy: must state "as joint tenants" AND all four unities (PITT) present. Survivorship: joint tenant cannot pass interest by will. Severance (Williams v Hensman): unilateral act / mutual agreement / course of conduct.

TRIGGER WORD / FACT	ISSUES IN PLAY — CHECK EACH
"leased" / "tenant" / "assigned" / "sublease"	Lease type (term certain, periodic, at will, at sufferance). Assignment (ENTIRE remaining term) vs sublease (LESS than entire). Spencer's Case: covenants touch and concern → run to assignee. Richfield: tenant gave up right to assign → landlord may refuse arbitrarily. Default: tenant may assign freely. Highway Properties: three remedies on repudiation.
"right of way" / "access over neighbour's land" / "right to use"	Easement (Re Ellenborough Park four requirements): dominant + servient tenements; accommodates dominant; different owners; capable of grant. Creation: express / implied necessity / Wheeldon v Burrows / prescription (exam may exclude). Scope: Harris v Flower (not for non-dominant land). Termination: unity of seisin / release / abandonment (Bairn).
"not to build" / "restricted to" / "covenant"	Restrictive covenant (Tulk v Moxhay): NEGATIVE in substance; benefits land retained by covenantee; intended to run; notice. Positive covenant (Durham): does NOT run with freehold land in Canada. Bypass options (chain of indemnity; long lease; benefit-burden: Halsall v Brizell; building scheme: Berry).
"government refused permit" / "regulation prevents development"	Constructive taking (Annapolis): (1) state acquired advantage from regulation? (2) all reasonable uses removed? Intention of authority is relevant. Duty to consult if Aboriginal interests affected.
"Aboriginal" / "First Nations" / "Indigenous claim"	Tsilhqot'in: sufficiency + continuity + exclusivity → Aboriginal title. Rights short of title (Van der Peet — no exclusive possession required). Duty to consult (Haida — spectrum). Indian Act reserves (Certificates of Possession). Modern treaties (Nisga'a — SBC 1999, c 2).
"common law partners" / "unmarried couple" / "cohabitation"	JFV (Kerr v Baranow four factors: mutual effort, economic integration, actual intent, priority of family). Unjust enrichment three elements. Remedy: value survived (JFV + wealth accumulated) / quantum meruit (no JFV) / remedial constructive trust (link to specific property + monetary inadequate). Resulting trust: Pecore applies.
"registered" / "land titles" / "Torrens"	Three principles: mirror, curtain, net. Indefeasibility: immediate (Ontario) vs deferred. Fraud exception (actual knowledge). Curtain: unregistered interests generally not binding. Assurance Fund. Chippewas of Sarnia: Aboriginal title vs Torrens registered private title.
"mines and minerals" / "subsurface" / "drilling"	Latin maxim: ownership extends downward. Mineral rights can be severed (separate estate from surface). Profit à prendre: right to take from another's land; can be held IN GROSS (no dominant tenement required). Lease vs profit: exclusive possession for a term = lease; right to take = profit.
"trust" / "holds for the benefit of"	Express trust: three certainties? Resulting trust (Pecore: parent → adult child = presumption of resulting trust). Institutional constructive trust (Soulos: four conditions). Remedial constructive trust (Pettkus; Kerr). Statute of Uses: "to A to the use of B" → B gets LEGAL title (Statute executes the passive use).